Type MS · Forms of business ownership and limited liability

Answer 1 of 28 · Question 1 part f · 3 marks

2022 JUN · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – Niche marketing**<br><br>**A –** this is not correct because it is a form of promotion to the whole market<br>**C** – this is not correct because it is a percentage that the business has of a specific market<br>**D** – this is not correct because it is the activity of gathering information about conditions affecting a market | **(1)** |

| **Question Number** | Which **one** of the following is a financial aim for a business?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A - Survival**<br><br>**B –** this is not correct because it is a non-financial aim<br>**C –** this is not correct because it is a non-financial aim<br>**D –** this is not correct because it is a non-financial aim | **(1)** |

| **Question Number** | Which **one** of the following is a variable cost?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D – Raw materials**<br><br>**A** – this is not correct because it is a fixed cost<br>**B** – this is not correct because it is a fixed cost<br>**C** – this is not correct because it is a fixed cost | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 1 of 28 · Question 1 part f · 3 marks

2022 JUN · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | Which **one** of the following is a role of the production function?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is B – Quality control**<br><br>**A –** this is not correct because it is a role of the human resources function<br>**C –** this is not correct because it is a role of the marketing function<br>**D –** this is not correct because it is a role of the human resources function | **(1)** |

| Question Number | Which **one** of the following is the markup on the packs of balloons?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**The only correct answer is D – 134.72** %<br><br>**A –** this is not correct because it is the cost of the balloon pack<br>**B –** this is not correct because it is the profit of the balloon pack<br>**C –** this is not correct because it is the profit x cost of the balloon pack | **(1)** |

| Question Number | Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is D – 206.18 MYR**<br><br>**A –** this is not correct because it is the price of one balloon pack<br>**B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05<br>**C –** this is not correct because it is the price of four balloon packs | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 1 of 28 · Question 1 part f · 3 marks

2022 JUN · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

| Question Number | Define the term **primary sector.**<br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of primary sector.<br>• The extraction of raw materials from the earth **(1)**. | **(1)** |

| Question Number | Define the term **diseconomies of scale.**<br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of diseconomies of scale.<br>• When the average unit cost increases due to the growth of a business **(1).** | **(1)** |

| Question Number | State **one** factor *TBTS* should consider when selecting its manufacturers.<br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*.<br>• *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**.<br>**NB** Do not accept a factor that is not in the context of *TBTS*<br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 1 of 28 · Question 1 part f · 3 marks

2022 JUN · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

| Question Number | Calculate the total costs for *TBTS*.<br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | Calculate the total costs for *TBTS*.<br><br>**A02 - 2 marks**<br><br>555.31 + (0.93 x 160) **(1)**<br><br>= 704.11 **(1)** | <br><br><br>Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** advantage of being a sole trader.<br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks.<br><br>• Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)**<br><br>**NB** Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 1 of 28 · Question 1 part f · 3 marks

2022 JUN · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

| Question Number | Analyse the likely impact of external factors on business decisions made by *TBTS*.<br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys<br>• Technological advances could increase the cost of buying or the price of a range of toys<br>**AO3**<br>• This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods<br>• If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Forms of business ownership and limited liability

### Answer 1 of 28 · Question 1 part f · 3 marks

2022 JUN · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

| Question Number | State **one** way *TBTS* can measure its success as a business<br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 2 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 · extract 1 of 5 · find part a.i in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**The only correct answer is B – Income tax**<br><br>A is not correct because sales tax is not a tax<br><br>C is not correct because it is a tax paid by limited businesses<br><br>D is not correct because it is not a tax | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (ii)** | **AO1 = 1 mark**<br><br>**The only correct answer is D – Packaging**<br><br>A is not correct because it is a fixed cost<br><br>B is not correct because it is a fixed cost<br><br>C is not correct because it is a fixed cost | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (iii)** | **AO1 = 1 mark**<br><br>**The only correct answer is C – Focus groups**<br><br>A is not correct because it is a method of secondary market research<br><br>B is not correct because it is a method of secondary market research<br><br>D is not correct because it is a method of secondary market research | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 2 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 · extract 2 of 5 · find part a.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 = 1 mark**<br><br>**The only correct answer is A –**<br>**Total cash inflow – total cash outflow**<br><br>B is not correct because it is the incorrect calculation<br><br>C is not correct because it is the incorrect calculation<br><br>D is not correct because it is the incorrect calculation | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (v)** | **AO2 = 1 mark**<br><br>**The only correct answer is D - €86.25**<br><br>A is not correct because this is worked out by multiplying five lessons by the exchange rate of €1.15<br><br>B is not correct because this is the cost of the lesson<br><br>C is not correct because this is worked out by multiplying the cost of each lesson at £15 by five lessons | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (vi)** | **AO2 = 1 mark**<br><br>**The only correct answer is A – A decrease in cash outflows**<br><br>B is not correct because this is not an impact of a decrease in the exchange rate<br><br>C is not correct because this is not an impact of a decrease in the exchange rate<br><br>D is not correct because this is not an impact of a decrease in the exchange rate | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 2 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 · extract 3 of 5 · find part a.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of fixed costs.<br><br>• Costs that do not vary with the level of output (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (c)** | **AO1 = 1 mark**<br><br>Award 1 mark for the correct definition of stakeholder.<br><br>• An individual or a group with an interest in the business (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (d)** | **AO2 = 1 mark**<br><br>Award 1 mark for a valid response that relates to investing in computer technology in the context of the business.<br><br>• *TADS* could improve the quality of the sound that the drums make (1). | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **AO2 = 2 marks**<br><br>(350 – 190) / 190 x 100 (1)<br><br>= 84.21% (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 2 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 · extract 4 of 5 · find part a.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (f)** | **AO1 = 3 marks**<br><br>Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining how this will affect a business for a maximum of 3 marks.<br><br>• Partners may disagree and fall out (1) meaning decision making can take longer (1) stopping the business moving forward with new ideas (1).<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *TADS* is located in a wealthy area near to people with more disposable income.<br>• *TADS* needs to be far away from competitors in the music school industry.<br><br>**AO3**<br>• It is important to be located close to the target market as parents may not want to travel far for the lessons for their children.<br>• As the service provided is specialised it is best to be far away from other drumming schools as not everyone will want to play them. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |

Type MS · Forms of business ownership and limited liability

Answer 2 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 01 · extract 5 of 5 · find part a.i in this mark scheme extract

| | | |
|---|---|---|
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

| Question Number | Answer | Mark |
|---|---|---|

## Type MS · Forms of business ownership and limited liability

Answer 3 of 28 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part a.v in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**The only correct answer is D - Manufacture of finished goods**<br><br>A is not correct because production does not provide services<br><br>B is not correct because production is not the exchange of goods<br><br>C is not correct because extraction of raw materials is not production | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(ii)** | **AO1 = 1 mark**<br><br>**The only correct answer is B - The person is given support from an established business**<br><br>A is not correct because a franchise cannot buy supplies from anyone<br><br>C is not correct because a franchise is not guaranteed a set wage<br><br>D is not correct because the profits are not shared in a franchise | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO2 = 1 mark**<br><br>**The only correct answer is D - 50.94%**<br><br>A is not correct because 6.63% calculation incorrect<br><br>B is not correct because 1 600 / 1 060 = 15.09<br><br>C is not correct because 1 600 – 1 060 = 0.52 / 1 600 = 33.75% | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 3 of 28 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO1 = 1 mark**<br><br>**The only correct answer is A - Higher loan repayments**<br><br>B is not correct because a bank increasing the interest rates does not affect labour costs<br><br>C is not correct because a bank increasing interest rates would possibly reduce net cash flow<br><br>D is not correct because a bank increasing interest rates would possibly reduce sales | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (v)** | **AO1 = 1 mark**<br><br>**The only correct answer is B - It is funded by government**<br><br>A is not correct because a public corporation is not owned by the directors<br><br>C is not correct because a public corporation does not aim to maximise profit<br><br>D is not correct because a public corporation is accountable to the public | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(vi)** | **AO2 = 1 mark**<br><br>**The only correct answer is C - £980 000**<br><br>A is not correct because - £40 000 is cash inflow minus outflow<br><br>B is not correct because £40 000 is outflow minus inflow<br><br>D is not correct because opening balance £1020 000 plus outflow £400000 minus inflow £360 000 | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 3 of 28 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of commission.<br><br>• Payment made to an employee linked to the number of sales made (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (c)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of revenue.<br><br>• Money from the sale of goods/services (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (d)** | **A02 = 1 mark**<br><br>Award 1 mark for a valid reason for having a short span of control in the context of the business.<br><br>• This allows the directors of *HRMW* to communicate with all manufacturing departments such as boxing gloves and hockey sticks (1).<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 = 2 marks**<br><br>92 322 – 85 083 = 7 239 (1)<br><br>7 239/85 038 = 8.51% (1) | Award 1 mark for substituting numbers into formula correctly.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 3 of 28 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (f)** | **A01 = 3 marks**<br><br>Award 1 mark for identification of a reason for sponsoring an event, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• Sponsorship is making a financial contribution to an event (1). This makes more people aware of the business's products (1). This could, in turn, increase sales of those products (1).<br><br>Answers that list three reasons with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response**. | **(3)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• It differentiates its football products from those of its competitors.<br>• It helps customers to recognise its own logo that appears on all its products.<br><br>**AO3**<br>• Advertising the footballs is easier because customers are aware of the brand name and the quality of products.<br>• Customers are more likely to buy a *HRMW* hockey stick, rather than an unbranded product, when they see the logo. | **(6)** |

## Type MS · Forms of business ownership and limited liability

### Answer 3 of 28 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part a.v in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Forms of business ownership and limited liability

### Answer 3 of 28 · Question 1 part a.v · 1 mark

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part a.v in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 4 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 · extract 1 of 6 · find part a.i in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**The only correct answer is B - Shares are traded on the stock exchange**<br><br>A is not correct because a plc is not controlled by the government<br><br>C is not correct because a plc can have more than 50 shareholders<br><br>D is not correct because there is no restriction in transfer of shares | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (ii)** | **AO1 = 1 mark**<br><br>**The only correct answer is C – Finance**<br><br>A is not correct because Human resources looks after people<br><br>B is not correct because Marketing identifies customers' needs<br><br>D is not correct because Production is making goods | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO2 = 1 mark**<br><br>**The only correct answer is A - 12.5%**<br><br>B is not correct because Total equals £1 200 000 and 20.8% - Business 4<br><br>C is not correct because 25% = £300 000 – Business 1<br><br>D is not correct because 29.2% = £350 000 – Business 5 | **(1)** |

## Type MS · Forms of business ownership and limited liability

### Answer 4 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 · extract 2 of 6 · find part a.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO1 = 1 mark**<br><br>**The only correct answer is B - More funds taken out than are in the account**<br><br>A is not correct because borrowing regular amounts is a loan<br><br>C is not correct because money lent by many people is 'just giving'<br><br>D is not correct because a loan for repayment is a loan | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 = 1 mark**<br><br>**The only correct answer is D - 2.53%**<br><br>A is not correct because calculation worked out on Cash assets not Total assets<br><br>B is not correct because percentage correct but not minus calculation wrong way round<br><br>C is not correct because calculation worked out using 2016-2017 figure not 2015-2016 figure | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a)(vi)** | **AO1 = 1 mark**<br><br>**The only correct answer is C - Job description**<br><br>**A** is not correct because a Business plan is not in recruitment<br><br>**B** is not correct because Induction training is after recruitment<br><br>**D** is not correct because Job enrichment is after recruitment | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 4 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 · extract 3 of 6 · find part a.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of social enterprise.<br><br>• A business whose profits are used to benefit it and the community (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (c)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of globalisation.<br><br>• Companies operating internationally across the world (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (d)** | **A02 = 1 mark**<br><br>Award 1 mark for a valid reason why *Emirates* uses competition pricing in the context of the business.<br><br>• To attract more people to fly with *Emirates* and not its competitors (1).<br>• As *Emirates* flies to 180 destinations consumers do not find it necessary to choose other airlines (1).<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 4 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 · extract 4 of 6 · find part a.i in this mark scheme extract

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 = 2 marks**<br><br>26 – 30 (1)<br><br>= –4 (1) | Award 1 mark for substituting numbers into formula correctly.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (f)** | **A01 = 3 marks**<br><br>Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• One factor is called a hygiene factor (1) workers can become demotivated (1) if hygiene factors such as pay are not met (1).<br><br>• The other factor is motivator (1) employees gain achievement in their job (1) which allows then to grow and develop (1).<br><br>Answers that list two factors with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |

## Type MS · Forms of business ownership and limited liability

Answer 4 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 · extract 5 of 6 · find part a.i in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Comparison of finances from different routes can be made from year to year. *Emirates* can make decisions on whether routes continue.<br><br>**AO3**<br>• Decisions can then be made whether to reduce costs or change certain strategies.<br>• The figures can also inform *Emirates* what action it might need to take in coming years. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Forms of business ownership and limited liability

### Answer 4 of 28 · Question 1 part a.i · 1 mark

2020 NOV · Paper 02 · extract 6 of 6 · find part a.i in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 5 of 28 · Question 1 part a.iv · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part a.iv in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**A –** It is a more up to date method of research<br><br>B – is incorrect as it is very time-consuming<br>C – is incorrect as it is more expensive<br>D – is incorrect as it is carried out by a variety of people not just agencies | **(1)** |

| **Question Number** | Which **one** of the following is a financial objective?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**B –** Market share<br><br>A – is incorrect as personal satisfaction is not financial<br>C – is incorrect as independence is not financial<br>D – is incorrect as control is not financial | **(1)** |

| **Question Number** | Which **one** of the following is the total revenue for a day?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO2 - 1 mark**<br><br>**C** – £2 400<br><br>A – is incorrect as £600 is the fixed cost<br>B – is incorrect as £1 800 is £600 x £3.00<br>D – is incorrect as £600 x £12.00 | **(1)** |

4BS1 02 November 2021

Type MS · Forms of business ownership and limited liability

Answer 5 of 28 · Question 1 part a.iv · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part a.iv in this mark scheme extract

| Question Number | Which **one** of the following would be a disadvantage for a partner in a partnership?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**B –** Liability for all debts<br><br>A – is incorrect as sharing the workload is a benefit<br>C – is incorrect as access to more capital is a benefit<br>D – is incorrect as sharing skills is a benefit | **(1)** |

| Question Number | What would be the brand value in 2019?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**C –** $8.66 billion<br><br>A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2<br>B – is incorrect as 7.74 is 7.6 plus .14<br>D – is incorrect as 10.64 is 76 x .14 | **(1)** |

| Question Number | Which **one** of the following is a source of long-term finance?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO1 - 1 mark**<br><br>**D –** Bank loan<br><br>A – is incorrect as an overdraft is short term finance<br>B – is incorrect as sales revenue is funds made from sales<br>C 0 is incorrect as a bank loan is not long term finance. | **(1)** |

4BS1 02 November 2021

Type MS · Forms of business ownership and limited liability

Answer 5 of 28 · Question 1 part a.iv · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part a.iv in this mark scheme extract

| Question Number | Define the term **sole trader**.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of sole trader.<br><br>• A business owned exclusively by one person **(1)** | **(1)** |

| Question Number | Define the term **demographics**.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of demographics.<br><br>• A particular section of the population **(1)** | **(1)** |

| Question Number | State **one** reason why *Huawei* may use share capital as a source of finance.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason of using share capital in the context of the business.<br><br>• *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)**<br>• *Huawei* can use the money raised as it wishes such as investing in new technology **(1)**<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate, to two decimal places, the operating profit margin for *Huawei*.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|

4BS1 02 November 2021

Type MS · Forms of business ownership and limited liability

Answer 5 of 28 · Question 1 part a.iv · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part a.iv in this mark scheme extract

| | | | |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>= 73 287 ÷ 721 202 x 100 **(1)**<br><br>= 10.16 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| **Question Number** | Explain **one** advantage for a business of using **sponsorship**.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)**<br><br>• By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)**<br><br>NB Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |



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Type MS · Forms of business ownership and limited liability

Answer 5 of 28 · Question 1 part a.iv · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part a.iv in this mark scheme extract

| Question Number | Analyse the benefits of *Huawei* of locating its factories near to its labour sources.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br><br>• By locating a factory in an area where there is a skilled labour force it could reduce training costs<br>• *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones<br><br>**AO3**<br>• The money saved could then be used for other purposes within *Huawei*<br>• If those skills are available the factory may become more productive and efficient in manufacturing smartphones | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |



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## Type MS · Forms of business ownership and limited liability

### Answer 5 of 28 · Question 1 part a.iv · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part a.iv in this mark scheme extract

| **Question Number** | State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 6 of 28 · Question 1 part b · 1 mark

2021 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**A –** It is a more up to date method of research<br><br>B – is incorrect as it is very time-consuming<br>C – is incorrect as it is more expensive<br>D – is incorrect as it is carried out by a variety of people not just agencies | **(1)** |

| **Question Number** | Which **one** of the following is a financial objective?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**B –** Market share<br><br>A – is incorrect as personal satisfaction is not financial<br>C – is incorrect as independence is not financial<br>D – is incorrect as control is not financial | **(1)** |

| **Question Number** | Which **one** of the following is the total revenue for a day?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO2 - 1 mark**<br><br>**C** – £2 400<br><br>A – is incorrect as £600 is the fixed cost<br>B – is incorrect as £1 800 is £600 x £3.00<br>D – is incorrect as £600 x £12.00 | **(1)** |

4BS1 02 November 2021

## Type MS · Forms of business ownership and limited liability

### Answer 6 of 28 · Question 1 part b · 1 mark

2021 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

| Question Number | Which **one** of the following would be a disadvantage for a partner in a partnership?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 - 1 mark**<br><br>**B –** Liability for all debts<br><br>A – is incorrect as sharing the workload is a benefit<br>C – is incorrect as access to more capital is a benefit<br>D – is incorrect as sharing skills is a benefit | **(1)** |

| Question Number | What would be the brand value in 2019?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>**C –** $8.66 billion<br><br>A – is incorrect as 6.20 is 14/10 = 1.4 7.6 – 1.4 = 6.2<br>B – is incorrect as 7.74 is 7.6 plus .14<br>D – is incorrect as 10.64 is 76 x .14 | **(1)** |

| Question Number | Which **one** of the following is a source of long-term finance?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (vi)** | **AO1 - 1 mark**<br><br>**D –** Bank loan<br><br>A – is incorrect as an overdraft is short term finance<br>B – is incorrect as sales revenue is funds made from sales<br>C 0 is incorrect as a bank loan is not long term finance. | **(1)** |

4BS1 02 November 2021

Type MS · Forms of business ownership and limited liability

Answer 6 of 28 · Question 1 part b · 1 mark

2021 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

| Question Number | Define the term **sole trader**.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of sole trader.<br><br>• A business owned exclusively by one person **(1)** | **(1)** |

| Question Number | Define the term **demographics**.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of demographics.<br><br>• A particular section of the population **(1)** | **(1)** |

| Question Number | State **one** reason why *Huawei* may use share capital as a source of finance.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason of using share capital in the context of the business.<br><br>• *Huawei* does not have to pay the funds back it can use the money to pay the salaries of the smartphone designers **(1)**<br>• *Huawei* can use the money raised as it wishes such as investing in new technology **(1)**<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate, to two decimal places, the operating profit margin for *Huawei*.<br><br>**Answer** | Additional guidance | Mark |
|---|---|---|---|

4BS1 02 November 2021

Type MS · Forms of business ownership and limited liability

Answer 6 of 28 · Question 1 part b · 1 mark

2021 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

| | | | |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>= 73 287 ÷ 721 202 x 100 **(1)**<br><br>= 10.16 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| **Question Number** | Explain **one** advantage for a business of using **sponsorship**.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of a business of using sponsorship, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• By sponsoring an event the business will gain publicity **(1)** the event could be local, national or global **(1)** this would mean the business would cover a wide spectrum of people **(1)**<br><br>• By sponsoring an event brand awareness will be increased **(1)** this could encourage followers of the event to consider purchasing from the business **(1)** leading to increased revenue/profits **(1)**<br><br>NB Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |



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## Type MS · Forms of business ownership and limited liability

### Answer 6 of 28 · Question 1 part b · 1 mark

2021 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

| Question Number | Analyse the benefits of *Huawei* of locating its factories near to its labour sources.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br><br>• By locating a factory in an area where there is a skilled labour force it could reduce training costs<br>• *Huawei* may need certain skills to operate manufacturing machinery for its products e.g. smartphones<br><br>**AO3**<br>• The money saved could then be used for other purposes within *Huawei*<br>• If those skills are available the factory may become more productive and efficient in manufacturing smartphones | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |



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Type MS · Forms of business ownership and limited liability

Answer 6 of 28 · Question 1 part b · 1 mark

2021 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

| **Question Number** | State **one** possible reason why *Huawei* pays its employees in the UK above the minimum wage.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 7 of 28 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part a.i in this mark scheme extract

| | | |
|---|---|---|
| 1 (a) (i) | **AO1 - 1 mark**<br><br>**B** Partnership<br><br>A A sole trader is only one person<br>C Public Corporation is a large business run by many<br>D Public Limited Company has directors and can be quite a large business | **(1)** |

| Question Number | Which **one** of the following would show a business its cash flow forecast?<br><br>Answer | Mark |
|---|---|---|
| 1 (a)(ii) | **AO1 - 1 mark**<br><br>**A** Cash inflows and outflows<br><br>B Money owed to its creditors is a debt and is not a forecast<br>C Net cash flow is the difference between money in and money out<br>D Opening and closing balances are actual amounts and not a forecast | **(1)** |

| Question Number | Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?<br><br>Answer | Mark |
|---|---|---|
| 1 (a) (iii) | **AO2 - 1 mark**<br><br>**C** 411.19<br><br>A 20.59 (20.58 + 1)<br>B 205.60 (20.58 x 9.99)<br>D 411.60 (20.58 x 10.00 x 2) | **(1)** |

## Type MS · Forms of business ownership and limited liability

### Answer 7 of 28 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part a.i in this mark scheme extract

| Question Number | Which **one** of the following functional areas would a skilled machinist work in?<br><br>Answer | Mark |
|---|---|---|
| 1 (a)(iv) | **AO1 - 1 mark**<br><br>**C** Production<br><br>A Finance deals with the money side of the business<br>B Human Resources deals with recruitment<br>D Marketing deals with advertising the products | **(1)** |

| Question Number | What is the percentage decrease in the price of the *Cadbury* Crunchie?<br><br>Answer | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**D** 8.42%<br><br>A 0.92% (0.87 ÷ 0.95)<br>B 1.09% (0.95 ÷ 0.87)<br>C 8.00% (0.95 - 0.87) | **(1)** |

| Question Number | Which **one** of the following is an example of secondary market research?<br><br>Answer | Mark |
|---|---|---|
| 1 (a)(vi) | **AO1 - 1 mark**<br><br>**B** Market Report<br><br>A Telephone Survey is primary research<br>C Test Marketing is primary research<br>D Focus Group is primary research | **(1)** |

| Question Number | Define the term **personal savings.**<br><br>Answer | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **personal savings.**<br><br>• Money that belongs to an individual not a business **(1)** | **(1)** |

## Type MS · Forms of business ownership and limited liability

### Answer 7 of 28 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part a.i in this mark scheme extract

| Question Number | Define the term **sole trader.**<br><br>Answer | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of a **sole trader.**<br><br>• A business owned by a single person **(1)** | **(1)** |

| Question Number | State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.<br><br>Answer | Mark |
|---|---|---|
| 1 (d) | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business.<br><br>• Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)**<br><br>• Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Cadbury*.<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 7 of 28 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part a.i in this mark scheme extract

| Question Number | Calculate the selling price of the chocolate cake.<br><br>Answer | Additional guidance | Mark |
|---|---|---|---|
| 1 (e) | **A02 - 2 marks**<br><br>6.50 x .20 = 1.30 **(1)**<br><br>6.50 + 1.30 = 7.80 **(1)**<br><br>**OR**<br><br>6.50 x 1.20 **(1)**<br>= 7.80 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** advantage for businesses if banks reduce their interest rates.<br><br>Answer | Mark |
|---|---|---|
| 1 (f) | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)**<br><br>• If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

## Type MS · Forms of business ownership and limited liability

### Answer 7 of 28 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part a.i in this mark scheme extract

| Question Number | Analyse **two** factors that could influence *Cadbury* when locating a new factory.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>AO2<br><br>• *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers<br><br>• Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods<br><br>AO3<br>• If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel<br><br>• This means that the cocoa will arrive in time for the production of *Cadbury* products | (6) |

## Type MS · Forms of business ownership and limited liability

### Answer 7 of 28 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part a.i in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

## Type MS · Forms of business ownership and limited liability

### Answer 7 of 28 · Question 1 part a.i · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part a.i in this mark scheme extract

| Question Number | State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*.<br><br>Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 8 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part c in this mark scheme extract

| | | |
|---|---|---|
| 1 (a) (i) | **AO1 - 1 mark**<br><br>**B** Partnership<br><br>A A sole trader is only one person<br>C Public Corporation is a large business run by many<br>D Public Limited Company has directors and can be quite a large business | **(1)** |

| Question Number | Which **one** of the following would show a business its cash flow forecast?<br><br>Answer | Mark |
|---|---|---|
| 1 (a)(ii) | **AO1 - 1 mark**<br><br>**A** Cash inflows and outflows<br><br>B Money owed to its creditors is a debt and is not a forecast<br>C Net cash flow is the difference between money in and money out<br>D Opening and closing balances are actual amounts and not a forecast | **(1)** |

| Question Number | Which **one** of the following would a customer in South Africa pay in ZAR for two 850 gram *Cadbury* Dairy Milk Bars?<br><br>Answer | Mark |
|---|---|---|
| 1 (a) (iii) | **AO2 - 1 mark**<br><br>**C** 411.19<br><br>A 20.59 (20.58 + 1)<br>B 205.60 (20.58 x 9.99)<br>D 411.60 (20.58 x 10.00 x 2) | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 8 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part c in this mark scheme extract

| Question Number | Which **one** of the following functional areas would a skilled machinist work in?<br><br>Answer | Mark |
|---|---|---|
| 1 (a)(iv) | **AO1 - 1 mark**<br><br>**C** Production<br><br>A Finance deals with the money side of the business<br>B Human Resources deals with recruitment<br>D Marketing deals with advertising the products | (1) |

| Question Number | What is the percentage decrease in the price of the *Cadbury* Crunchie?<br><br>Answer | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**D** 8.42%<br><br>A 0.92% (0.87 ÷ 0.95)<br>B 1.09% (0.95 ÷ 0.87)<br>C 8.00% (0.95 - 0.87) | (1) |

| Question Number | Which **one** of the following is an example of secondary market research?<br><br>Answer | Mark |
|---|---|---|
| 1 (a)(vi) | **AO1 - 1 mark**<br><br>**B** Market Report<br><br>A Telephone Survey is primary research<br>C Test Marketing is primary research<br>D Focus Group is primary research | (1) |

| Question Number | Define the term **personal savings**.<br><br>Answer | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **personal savings.**<br><br>• Money that belongs to an individual not a business **(1)** | (1) |

## Type MS · Forms of business ownership and limited liability

### Answer 8 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part c in this mark scheme extract

| Question Number | Define the term **sole trader.**<br><br>Answer | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of a **sole trader.**<br><br>• A business owned by a single person **(1)** | **(1)** |

| Question Number | State **one** reason why *Cadbury* might pay its UK employees above the minimum wage.<br><br>Answer | Mark |
|---|---|---|
| 1 (d) | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason of why *Cadbury* pays its UK employees above the minimum wage in the context of the business.<br><br>• Employees are more likely to stay with *Cadbury* and not move to a competitor such as Rowntree's to earn additional money **(1)**<br><br>• Employees are less likely to take time off from producing chocolate bars if they are paid well **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Cadbury*.<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 8 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part c in this mark scheme extract

| Question Number | Calculate the selling price of the chocolate cake.<br><br>Answer | Additional guidance | Mark |
|---|---|---|---|
| 1 (e) | **A02 - 2 marks**<br><br>6.50 x .20 = 1.30 **(1)**<br><br>6.50 + 1.30 = 7.80 **(1)**<br><br>**OR**<br><br>6.50 x 1.20 **(1)**<br>= 7.80 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** advantage for businesses if banks reduce their interest rates.<br><br>Answer | Mark |
|---|---|---|
| 1 (f) | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage for a business if the banks reduce their interest rates, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• This means that if a business took out loans **(1)** monthly repayments would be lower **(1)** leaving more funds for other business expenses **(1)**<br><br>• If the interest rates are reduced, then customers may have more funds available **(1)** to spend on goods/products **(1)** thus increasing the turnover of businesses **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

## Type MS · Forms of business ownership and limited liability

### Answer 8 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part c in this mark scheme extract

| Question Number | Analyse **two** factors that could influence *Cadbury* when locating a new factory.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>AO2<br><br>• *Cadbury* may need to move to a location where there are skilled employees, such as cake designers and biscuit bakers<br><br>• Locating near to motorways or railways means that cocoa can be delivered to *Cadbury* factories using a variety of methods<br><br>AO3<br>• If *Cadbury* locates near to a pool of skilled employees they require, employees will be willing to work at *Cadbury* as they will not have far to travel<br><br>• This means that the cocoa will arrive in time for the production of *Cadbury* products | (6) |

## Type MS · Forms of business ownership and limited liability

### Answer 8 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

## Type MS · Forms of business ownership and limited liability

### Answer 8 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part c in this mark scheme extract

| Question Number | State **one** item of information that an applicant would include in their Curriculum Vitae (CV) when applying for a position with *Cadbury*.<br><br>Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 9 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**C** Cash flow<br><br>A – a mortgage is a loan<br>B – break-even does not show money in and out of a business – it is the point at which total costs and revenue are the same<br>D – Profit and loss – profit is money left after sales and loss is when there is less money made than it cost | **(1)** |

| **Question Number** | Which **one** of the following could a person complete when applying for a job?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(ii)** | **AO1 - 1 mark**<br><br>**A** Application form<br><br>B – Shortlisting is the process of deciding which applicants to interview<br>C – Job description gives of the job for which applicants can apply<br>D Person specification gives details of the type of person required for the job | **(1)** |

| **Question Number** | Which **one** of the following is the correct statement?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO2 - 1 mark**<br><br>**C** Loss of 550 000<br><br>A – Total costs has incorrectly been calculated using revenue + variable costs + fixed costs<br>B – Cash inflow has incorrectly been calculated by doing variable costs minus fixed costs<br>D – Profit is incorrect as this calculates revenue minus variable costs | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 9 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

| Question Number | Which **one** of the following is a benefit of being a franchisee?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(iv)** | **AO1 - 1 mark**<br><br>**B** Selling an established brand<br><br>A – You cannot choose your own suppliers as a franchise<br>C – You would still have to pay interest on any bank loans whether a franchisee or not<br>D – You do not have complete control of the business if you are a franchisee the franchisor does | **(1)** |

| Question Number | Which **one** of the following is the percentage increase from 2019 to 2020?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>**D** 6%<br><br>A – is 2.31 ÷ 38.5 = 0.06%<br>B – is 40.81 ÷ 38.5 = 1.06%<br>C – is 40.81 – 38.5 = 2.31% | **(1)** |

| Question Number | Which **one** of the following functional areas could help employees who had a problem with their wage?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(vi)** | **AO1 - 1 mark**<br><br>**B** Finance<br><br>A – Production is making goods<br>C – Marketing is about identifying, anticipating and satisfying customer requirements profitably<br>D – Sales is selling the goods to customers | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 9 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

| Question Number | Define the term **break-even**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **break-even**.<br><br>• When costs and revenue are the same **(1)**<br>• When total costs are the same as total sales **(1)** | **(1)** |

| Question Number | Define the term **public corporation**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **public corporation**<br><br>• Owned by the state/central government **(1)** | **(1)** |

| Question Number | State **one** benefit for *LEGO* of having a short span of control.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (d) | **A02 - 1 mark**<br><br>Award 1 mark for a valid benefit for having a short span of control in the context of the business.<br><br>• By reducing the levels communication between the managers of the 15 factories and the Danish HQ could lead to fewer mistakes **(1)**<br>• Allows all 18,000 world-wide employees to make suggestions about the new products **(1)**<br><br>**NB** Do not accept a benefit that is not in the context of LEGO.<br><br>**Accept any other appropriate response** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 9 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

| Question Number | Calculate, to two decimal places, the cost of making the pineapple pencil holders.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>148 ÷ 115 = 1.287 **(1)**<br><br>1.287 × 100 = 128.70 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** disadvantage of using questionnaires as a method of market research.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a disadvantage of using a questionnaire, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• If the questionnaire is too long **(1)** people may be reluctant to complete them **(1)** and may not give true answers **(1)**<br><br>• If there are too many questions then people may not focus properly **(1)** and this could result in a low rate of return **(1)** therefore not giving the information required **(1)**<br><br>NB No marks are awarded for a definition.<br><br>Answers that list three disadvantages with no explanation will get a 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 9 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

| Question Number | Analyse the benefits for *LEGO* of being a multinational business.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br><br>• *LEGO* can sell its Harry Potter toys around the world<br>• The arts and craft materials can be produced in the most cost-effective location for *LEGO*<br><br>**AO3**<br>• This means that *LEGO*'s global market will increase compared to rivals<br>• Thus reducing the average total cost and leading to a larger profit margin | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

## Type MS · Forms of business ownership and limited liability

### Answer 9 of 28 · Question 1 part c · 1 mark

2022 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

| Question Number | State **one** financial objective for *LEGO*.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 10 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 1 of 7 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>The only correct answer is **B** Social<br><br>**A** - is incorrect as esteem is level 4<br>**C** - is incorrect as safety is level 2<br>**D** - is incorrect as basic is level 1 | **(1)** |

| **Question Number** | Which **one** of the following is an external source of finance?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(ii)** | **AO1 - 1 mark**<br><br>The only correct answer is **D** Venture capital<br><br>**A** - is incorrect as personal savings is an internal source of finance<br>**B** - is incorrect as retained profit is an internal source of finance<br>**C** - is incorrect as selling assets is an internal source of finance | **(1)** |

| **Question Number** | Which **one** of the following is the closing balance for the end of the month?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO2 - 1 mark**<br><br>The only correct answer is **B** -£8 000<br><br>**A** - is incorrect as -£28 000 because cash inflow of £28 000 minus cash outflow of 56 000<br>**C** - is incorrect as £48 000 because it is the opening balance of as £20 000 plus the cash inflow of £28 000<br>**D** - is incorrect as £84 000 because it is the cash inflow of £28 000 plus the cash outflow of £56 000 | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 10 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 2 of 7 · find part b in this mark scheme extract

| Question Number | Which **one** of the following is a reason why governments raise tax rates?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO1 - 1 mark**<br><br>The only correct answer is **A** To raise revenue to fund government expenditure<br><br>**B** - is incorrect as raising taxes would put off multinationals from investing<br>**C** - is incorrect as to higher taxes would reduce demand in the economy<br>**D** - is incorrect as this would increase unemployment if income tax increases | **(1)** |

| Question Number | What would be the number of tractors sold in February 2021?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (v)** | **AO2 - 1 mark**<br><br>The only correct answer is **C** 322,898<br><br>**A** - is incorrect because 253,706 is 288,302 minus 12%<br>**B** - is incorrect because 300,302 = 288,302 + 12, 000<br>**D** - is incorrect because 322,910 = 288,302 + 34,596 +12 | **(1)** |

| Question Number | Which **one** of the following market research methods would the shop owner use?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a)(vi)** | **AO1 - 1 mark**<br><br>The only correct answer is **B** Primary research<br><br>**A** - is incorrect as market segment is not market research<br>**C** - is not correct as research and development as it is not market research<br>**D** - is not correct as secondary research is data that has already been collected | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 10 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 3 of 7 · find part b in this mark scheme extract

| Question Number | Define the term **public corporation.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of public corporation.<br><br>• A business owned and controlled by the state/government **(1)** | **(1)** |

| Question Number | Define the term **qualitative market research.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of qualitative market research.<br><br>• Information about attitudes, beliefs and intentions **(1)** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 10 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 4 of 7 · find part b in this mark scheme extract

| Question Number | State **one** reason why it is important for *M&M* to motivate its employees.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason why it is important for *M&M* to motivate its employees in the context of the business.<br><br>• *M&M* motivating its employees means they will work harder and take a pride in building tractors **(1)**<br><br>• More motivated employees might be willing to accept new working practices after training such as the introduction of robots on the production line **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *M&M.*<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate to 2 decimal places, the percentage increase from 2019 to 2020.<br><br>**Answer** | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>900 – 448 = 452 **(1)**<br><br>452/448 x 100<br><br>= 100.89 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 10 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 5 of 7 · find part b in this mark scheme extract

| **Question Number** | Explain **one** advantage of becoming a multinational business.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for an advantage of a business becoming a multinational plus 2 further marks for explaining the advantage, for a maximum of 3 marks.<br><br>• A multinational business has a global supplier base **(1)** that is able to supply a range of components/products **(1)** and this could increase revenue **(1)**<br><br>• Multinationals operate in many different countries **(1)** this makes the movement of products easier **(1)** as trade barriers are reduced **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list two reasons with no explanation will gain 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 10 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 6 of 7 · find part b in this mark scheme extract

| **Question Number** | Analyse the disadvantages to *M&M* of using social media.<br><br>**Indicative content** | **Mark** |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br><br>• Negative comments can be put on social media about the quality of *M&M*'s tractors<br><br>• Not everyone has or uses social media, so there is no guarantee that they would see advertisements about new cars that *M&M* have made<br><br>**AO3**<br><br>• The comments could be made by a disgruntled customer and the comments might not be true<br><br>• This could mean that a number of potential customers might not see the advertisements and would then not be able to buy the new cars | **(6)** |

Type MS · Forms of business ownership and limited liability

Answer 10 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 02 (regional R) · extract 7 of 7 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

| **Question Number** | State **one** non-financial objective for *M&M*.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 11 of 28 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 1 of 7 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3 (a)** | **A01 - 1 mark**<br><br>Award 1 mark for a correct definition of public limited company.<br><br>• A company whose shares are freely sold and traded in stock markets **(1)** | **(1)** |

| **Question Number** | Outline **one** impact that will come from *Kraft Heinz*'s use of robotic technology.<br><br>**Answer** | **Mark** |
|---|---|---|
| **3 (b)** | **A02 - 2 marks**<br><br>Award 1 mark for identifying one impact that will come from *Kraft Heinz*'s use of robotic technology, plus 1 further mark for linking it to the context of the question.<br><br>• By introducing more robots in production means that *Kraft Heinz* may see an improvement in its efficiency **(1)** which could result in lower production costs for its tins of baked beans **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Kraft Heinz.*<br><br>**Accept any other appropriate response.** | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 11 of 28 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 2 of 7 · find part a in this mark scheme extract

| **Question Number** | Calculate the decrease in Waste to Landfill in metric tons for *Kraft Heinz* from 2019 to 2021. You are advised to show your workings.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **3 (c)** | **A02 - 2 marks**<br><br>100,595 – 82,617 **(1)**<br><br>= 17,978 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 11 of 28 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 3 of 7 · find part a in this mark scheme extract

| Question Number | Analyse how *Kraft Heinz* could benefit from reducing its waste.<br><br>**Indicative content** | Mark |
|---|---|---|
| **3 (d)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br><br>• The environmental reputation of *Kraft Heinz* could be improved by its reduction in waste to landfill from 2019 to 2021<br><br>• By having less waste *Kraft Heinz* can reduce its production costs for the tins of baked beans<br><br>**AO3**<br><br>• *Kraft Heinz* has a good reputation for reducing its energy, to save the environment, which may prove attractive to people and thus they will purchase more of *Kraft Heinz*'s products<br><br>• By reducing the cost of production of baked beans can reduce the price to customers thereby selling more and increasing revenue | **(6)** |

## Type MS · Forms of business ownership and limited liability

### Answer 11 of 28 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 4 of 7 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

Type MS · Forms of business ownership and limited liability

Answer 11 of 28 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 5 of 7 · find part a in this mark scheme extract

| Question Number | *Kraft Heinz* will need to recruit more managers to take responsibility for new production lines. It is considering two options.<br><br>**Option 1:** promote existing employees<br>**Option 2:** advertise managerial positions externally<br><br>**Indicative content** | **Mark** |
|---|---|---|
| **3 (e)** | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>**AO2**<br><br>• **Option 1** – By recruiting employees internally *Kraft Heinz* know that the person they appoint will understand how the production of sauces works<br><br>• **Option 2** – By recruiting externally, it involves going through prospective employees Curriculum Vitae's and interviewing them for the vacancy of a Production Line Manager for Mac&Cheese<br><br>**AO3**<br>• **Option 1** – There will be less time spent trying to find someone who could do the job and has the skills and knowledge<br><br>• **Option 2** – Therefore *Kraft Heinz* will have spent a great deal of time carrying out the various stages from checking the Curriculum Vitae to interviewing them, to gain the right candidate for the job<br><br>**AO4**<br>• **Option 1** – However, once that person is appointed it means that there will be another vacancy either in the same department or another one requiring additional recruitment<br><br>• **Option 2** – However, the external manager appointed may not have the right knowledge and experience when they actually start work at *Kraft Heinz*, which means they will have wasted a great deal of time. | **(9)** |

Type MS · Forms of business ownership and limited liability

Answer 11 of 28 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 6 of 7 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4). |

## Type MS · Forms of business ownership and limited liability

Answer 11 of 28 · Question 3 part a · 1 mark

2023 NOV · Paper 02 · extract 7 of 7 · find part a in this mark scheme extract

| Question Number | (a) Calculate, to two decimal places, the Gross Profit Margin for *Kraft Heinz* for the three months ending 25 June 2022. You are advised to show your workings.<br><br>**Answer** | Additional guidance | Mark |
|---|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 12 of 28 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a.iv in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is A –** Continuous improvement<br><br>**B** – is not the correct answer as just-in-time (JIT) is the arrival of supplies when needed<br>**C** – is not the correct answer as market orientation is not manufacturing<br>**D** – is not the correct answer as job production is where employees make one unit at a time | **(1)** |

| **Q. No.** | Which **one** of the following function areas would pay its employees' wages?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A** - Finance<br><br>**B** – is not the correct answer as Human resources deals with recruitment<br>**C** – is not the correct answer as Marketing deals with the promotion of the product<br>**D** – is not the correct answer as Production deals with the manufacture of goods | **(1)** |

| **Q. No.** | Which **one** of the following is the price of the shoes in pounds?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is B** – £594.54<br><br>**A** – is not the correct answer as £565.00 is 5.65 x 100<br>**C** – is not the correct answer as £3 353.48 is 3 359.13 – 5.65<br>**D** - is not the correct answer as £18 979.08 is 3 359.13 x 5.65 | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 12 of 28 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Which **one** of the following is a benefit of being a sole trader?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is C** – Independence for the owner<br><br>**A –** is not the correct answer as it is not easy for a sole trader to raise additional capital<br>**B** – is not the correct answer as decisions are not shared<br>**D** – is not the correct answer as sole traders do not have limited liability | **(1)** |

| Q. No. | Which **one** of the following is the closing balance for the business?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO1 - 1 mark**<br><br>**The only correct answer is B** – £48 000<br><br>**A** – is not the correct answer as £44 000 is cash inflow plus cash outflow<br>**C** – is not the correct answer as £55 000 is opening balance plus cash outflow<br>**D** – is not the correct answer as £65 000 is opening balance plus cash inflow | **(1)** |

| Q. No. | Which **one** of the following is an advantage of primary market research?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO1 - 1 mark**<br><br>**The only correct answer is D** It is a more up to date method of research<br><br>**A** – is not the correct answer as it is more expensive due to being tailor-made to the business<br>**B** – is not the correct answer as primary research takes more time due to carrying out surveys<br>**C** – is not the correct answer as primary market research is not always done by market research agencies | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 12 of 28 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Define the term **e-newsletter**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **e-newsletter.**<br><br>• Information sent electronically by a business to its customers **(1)** | **(1)** |

| Q. No. | Define the term **minimum wage.**<br><br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **minimum wage.**<br><br>• The lowest legal hourly wage rate that can be paid to workers **(1)** | **(1)** |

| Q. No. | State **one** reason why *Jimmy Choo* would want loyal customers.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (d) | **AO2 - 1 mark**<br><br>Award 1 mark for a valid reason why *Jimmy* Choo would want loyal customers in the context of the business.<br><br>• If *Jimmy Choo* designs and manufactures handbags then existing customers are more likely to return to buy more handbags **(1)**<br><br>• Loyal customers are more likely to return to buy new shoes **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Jimmy Choo.*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 12 of 28 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Calculate, the predicted value of recycled plastic for 2027. You are advised to show your working.<br><br>**Answer** | **Additional Guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>41.73 x 0.066 = 2.75 **(1)**<br><br>41.73 + 2.75<br><br>= 44.48 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct answer with no working. | **(2)** |

| Q. No. | Explain **one** reason why businesses comply with equal opportunities legislation.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for a valid reason why businesses comply with equal opportunities legislation, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• Businesses comply with the law as it is a legal requirement. **(1)** They cannot discriminate against a person because of gender/race/age. **(1)** The business could be taken to court and sued if they do not comply **(1)**<br><br>• If the business is not compliant with legislation **(1)** then employers **(1)** are liable to be sued **(1)**<br><br>**NB** No marks are awarded for a definition.<br>Answers that list three reasons with no explanation will get 1 mark only.<br>Accept any appropriate response. | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 12 of 28 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Customers may be disappointed with their shoes and will go elsewhere to buy their next pair<br><br>• Revenue may fall if a new perfume does not meet the standard that customer need and want<br><br>**AO3**<br>• This could have a large impact on *Jimmy Choo*'s sales and profits<br><br>• This could incur a loss of revenue and may impact further upon *Jimmy Choo*'s expansion plans | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)**<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)** |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)**<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)** |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)** |

## Type MS · Forms of business ownership and limited liability

### Answer 12 of 28 · Question 1 part a.iv · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a.iv in this mark scheme extract

| Q. No. | State **one** non-financial objective *Jimmy Choo* might have.<br><br>**Answer** | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 13 of 28 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 02 · extract 1 of 6 · find part a.vi in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>The only correct answer is **B -** Personal satisfaction<br>**A** – is not the correct answer as generating wealth is a financial objective<br><br>**C** - is not the correct answer as maximising profit is a financial objective<br><br>**D** - is not the correct answer as regular income is a financial objective | **(1)** |

| **Q. No.** | Which **one** of the following would be a benefit to a business delaying paying its suppliers?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>The only correct answer is **A -** Improved cash flow<br>**B** – is not the correct answer as profit would not be greater if you delayed paying suppliers<br><br>**C** - is not the correct answer as suppliers would want more interest on the outstanding amount<br><br>**D** - is not the correct answer as delaying payment would have the opposite effect on suppliers | **(1)** |

| **Q. No.** | Which **one** of the following would be the total monthly cost for *Jewellery For You*? | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>The only correct answer is **B -** €3 480<br>**A** – is not the correct answer as €924 is 27 x 12 + 600<br><br>**C** - is not the correct answer as €6 480 is 240 x 27<br><br>**D** - is not the correct answer as €7 080 is 240 x 27 + 600 | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 13 of 28 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 02 · extract 2 of 6 · find part a.vi in this mark scheme extract

| Q. No. | Which **one** of the following is a reason why a business would produce a cash flow forecast?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>The only correct answer is **C -** It can help a bank decide whether it should lend money to a business<br><br>**A** – is not the correct answer as it is not a legal requirement that a business has a cash flow forecast<br><br>**B** – is not the correct answer as a cash flow forecast does not ensure that the business will be successful<br><br>**D** - is not the correct answer as a forecast does not show the profit and loss of a business in the past six months | **(1)** |

| Q. No. | Which **one** of the following was the cost of the holiday in Thai Baht?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO1 - 1 mark**<br><br>The only correct answer is **C -** 40 828.18<br><br>**A** – is not the correct answer as 24.20 is 998 ÷ 40.91<br><br>**B** – is not the correct answer as 1038.91 is 998 + 40.91<br><br>**D** - is not the correct answer as 40 869.09 is 998 x 40.91 + 40.91 | **(1)** |

| Q. No. | Which **one** of the following is a reason why a sole trader would want to become a private limited company?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO1 - 1 mark**<br><br>The only correct answer is **D -** Increased ability to raise finance<br><br>**A** – is not the correct answer as the business would have to publish its financial records so therefore not confidential<br><br>**B** – is not the correct answer as the private limited company would have limited liability<br><br>**C** - is not the correct answer as shareholders are not liable for all debts | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 13 of 28 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 02 · extract 3 of 6 · find part a.vi in this mark scheme extract

| Q. No. | Define the term **franchise**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **franchise**<br><br>• A business allows another operator to trade under its name **(1)** | **(1)** |

| Q. No. | Define the term **profit**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **profit**<br><br>• Funds that are left over after all costs have been subtracted from the revenue **(1)** | **(1)** |

| Q. No. | State **one** reason why *TUI* pays its employees above the minimum wage.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (d) | **AO2 - 1 mark**<br><br>Award 1 mark for a valid reason why *TUI* pays its employees above the minimum wage in the context of the business<br><br>• By *TUI* paying its employees above the minimum wage they are more likely to remain with *TUI* and their knowledge of cruises and holidays will not be lost **(1)**<br>• Employees will feel more valued and gain more knowledge and experience of the travel industry that they could pass on to potential customers **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *TUI.*<br>Accept any appropriate response | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 13 of 28 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 02 · extract 4 of 6 · find part a.vi in this mark scheme extract

| Q. No. | Calculate the total price of a holiday for **two** adults with a 12.5% promotional discount for booking online.<br>**Answer** | **Additional Guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br>725.92 x 2 = 1451.84<br>1451.84 x 0.125 = 181.48 **(1)**<br>1451.84 – 181.48 = 1270.36 **(1)**<br>**OR**<br>725.92 x 0.875 = 635.18 **(1)**<br>635.18 x 2 = 1270. 36 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br>Award full marks for correct answer with no working. | **(2)** |

| Q. No. | Explain **one** of the factors in Herzberg's motivational theory.<br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br>Award 1 mark for identification of a factor in Herzberg's motivational theory, plus 2 further marks for explaining the theory, for a maximum of 3 marks.<br>• One is called a hygiene factor **(1)** where employees are paid for their work **(1)** which means employees gain security knowing they can pay their bills **(1)**<br>• One is called a motivator factor **(1)** employees gain achievement in their work **(1)** which allows them to grow and develop **(1)**<br>**NB** No marks are awarded for a definition.<br>Answers that list three factors with no explanation will get 1 mark only.<br>Accept any appropriate response. | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 13 of 28 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 02 · extract 5 of 6 · find part a.vi in this mark scheme extract

| Q. No. | Analyse the benefits for *TUI* from including health and safety training for its employees in their induction training.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Employees working in one of the travel agencies will know what to do if there is an emergency, such as an employee injuring themselves after falling<br>• Employees will be aware of any dangers by ensuring that all computer wires in the agencies are securely fastened to floors and walls so that no one can trip over them<br><br>**AO3**<br>• They will be able to make decisions quickly as to how to deal with the situation, by knowing where the first aid kit for plasters or bandages<br>• Thus, avoiding any accidents and *TUI* being sued by employees | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)**<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)** |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)**<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)** |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)**<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)** |

## Type MS · Forms of business ownership and limited liability

### Answer 13 of 28 · Question 1 part a.vi · 1 mark

2024 JUN · Paper 02 · extract 6 of 6 · find part a.vi in this mark scheme extract

| Q. No. | State **one** possible reason why *TUI* would want to keep its customers loyal.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 1 of 8 · find part c in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is D –** When total costs and total revenue are the same<br><br>**A** – is not the correct answer as fixed and variable costs would not break-even<br>**B** – is not the correct answer as total costs and fixed costs would not break-even<br>**C** – is not the correct answer as fixed costs and total revenue would not break-even | **(1)** |

| **Question Number** | Which **one** of the following is a benefit to a franchisee?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is B –** The franchisee is given support from the franchisor<br><br>**A** – is not the correct answer as the franchisee can only buy from the franchisor<br>**C** – is not the correct answer as the wage will depend on sales made<br>**D** – is not the correct answer as it is the franchisor who has total control | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 2 of 8 · find part c in this mark scheme extract

| Question Number | Which **one** of the following is an advantage of job production when compared to other methods of production?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iii) | **AO2 - 1 mark**<br><br>**The only correct answer is A** – Workers will be better motivated<br><br>**B** – is not the correct answer as production speeds will be slower<br>**C** – is not the correct answer as the unit costs will be different for each product made<br>**D** – is not the correct answer as more training will be needed for job production | **(1)** |

| Question Number | Which **one** of the following would be the total amount paid by a customer for a room?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a)(iv) | **AO1 - 1 mark**<br><br>**The only correct answer is D –** 406.25<br><br>**A** – is not the correct answer as 81.25 is 25% of the 325<br>**B** – is not the correct answer as 243.75 is 325 minus 81.25<br>**C** – is not the correct answer as 350 is 325 plus 25 | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 3 of 8 · find part c in this mark scheme extract

| Question Number | Which **one** of the following is the percentage increase in revenue from 2021 to 2022.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**The only correct answer is C –** 209.62%<br><br>**A** – is not the correct answer as 5.23% is 772.80 – 249.60 = 523.20/100<br>**B** – is not the correct answer as 67.70% is 772.80 – 249.60 = 523.20/772.80 x 100<br>**D** – is not the correct answer as 523.20% is 772.80 – 249.60 | **(1)** |

| Question Number | Which **one** of the following is an internal source of finance for a business?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a)(vi) | **AO1 - 1 mark**<br><br>**The only correct answer is C –** Personal savings is the only correct answer<br><br>**A** - is not the correct answer as Crowdfunding is an external source of finance<br>**B** – is not the correct answer as Loan capital is an external source of finance<br>**D** – is not the correct answer as Venture capital is an external source of finance | **(1)** |

| Question Number | Define the term **job description.**<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **job description.**<br><br>• It shows the tasks, duties, roles and responsibilities for a named job **(1)** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 4 of 8 · find part c in this mark scheme extract

| Question Number | Define the term **public corporation.** **Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of a **public corporation.**<br><br>• A business owned and controlled by a state/government **(1)** | **(1)** |

| Question Number | State **one** reason why *Premier Inn* managers would delegate tasks to hotel employees.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason why a *Premier Inn* managers would delegate tasks to hotel employees in the context of the business.<br><br>• By delegating a task, the manager gains time to carry out other tasks such as greeting guests on arrival **(1)**<br><br>• Employees may feel more motivated if they are trusted with additional jobs such as restocking the vending machines in public areas of the hotel **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Premier Inn*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 5 of 8 · find part c in this mark scheme extract

| Question Number | Calculate, to two decimal places, the price for the first night after the discount has been applied. You are advised to show your working.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>78.09 (2)<br><br>**Or**<br><br>1 mark for workings if final answer incorrect<br><br>89.25 x 0.125 = 11.16**(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

## Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 6 of 8 · find part c in this mark scheme extract

| Question Number | Explain **one** advantage of using focus groups when carrying out market research.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for an advantage of using focus groups when carrying out market research, plus 2 further marks for explaining the reason, for a maximum of 3 marks.<br><br>• By using focus groups researchers can talk directly to the people in the group **(1)** this means that they may get a more truthful answer **(1)** which may allow researchers to gain in-depth insights into consumers' thought, feelings and motivations **(1)**<br><br>• Focus groups allow a variety of people to discuss the research being carried out **(1)** detailed notes of the discussion can be taken **(1)** which can then be used and analysed at a later date **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list two advantages with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 7 of 8 · find part c in this mark scheme extract

| Question Number | Analyse the benefits for India of these plans.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Building more hotels in India will provide greater job opportunities for the local population<br><br>• The hotels will need employees with different skills such as chefs and waiters<br><br>**AO3**<br>• It will improve the overall Indian economy from increased taxes/revenue<br><br>• It could reduce unemployment where the new hotels are built | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

Type MS · Forms of business ownership and limited liability

Answer 14 of 28 · Question 1 part c · 1 mark

2024 NOV · Paper 02 · extract 8 of 8 · find part c in this mark scheme extract

| Question Number | State **one** activity carried out by the marketing functional area at *Premier Inn*.<br><br>**Answer** | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 15 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 02 · extract 1 of 6 · find part a.iv in this mark scheme extract

| | | |
|---|---|---|
| 1 (a) (i) | **AO1 - 1 mark**<br><br>**The only correct answer is B - Engineering**<br>**A** – is not the correct answer as coal mining is primary sector<br><br>**C** - is not the correct answer as farming is primary sector<br><br>**D** - is not the correct answer as insurance is tertiary sector | **(1)** |

| Q. No. | Which **one** of the following is an external source of finance?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (ii) | **AO1 - 1 mark**<br><br>**The only correct answer is D – Bank loan**<br>**A** – is not the correct answer as – selling assets is internal<br><br>**B** - is not the correct answer as – retained profit is internal<br><br>**C** - is not the correct answer as – personal savings is internal | **(1)** |

| Q. No. | Which **one** of the following is the percentage decrease in the price of a latte?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iii) | **AO2 - 1 mark**<br><br>**The only correct answer is C – 9.32%**<br>**A** – is not the correct answer as 0.55% is 5.90 – 5.35<br><br>**B** - is not the correct answer as 2.94% is 5.90 – 5.35 x 5.35<br><br>**D** - is not the correct answer as 10.28% is 5.90 – 5.35/5.35 x 100 | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 15 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 02 · extract 2 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Which **one** of the following is the minimum number of owners in a partnership?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br>**The only correct answer is B - 2**<br>**A** – is not the correct answer as 1 is not a partnership<br>**C** – is not the correct answer as 20 is not the minimum number of people needed<br>**D** - is not the correct answer as 50 is not the minimum number of people needed | **(1)** |

| Q. No. | Which **one** of the following would be the price in Rupees to be a member in India?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br>**The only correct answer is A – 413.48**<br>**B** – is not the correct answer as 1105.08 is 92.09 x 12<br>**C** – is not the correct answer as 4134.84 is 920.90 x 4.49<br>**D** - is not the correct answer as 4961.81 is 4.49 x 12 x 92.09 | **(1)** |

| Q. No. | Which **one** of the following is an external source of finance for managing immediate cash flow problems?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO1 - 1 mark**<br>**The only correct answer is D - overdraft**<br>**A** – is not the correct answer as personal savings are an internal source of finance<br>**B** – is not the correct answer as retained profit is an internal source of finance<br>**C** - is not the correct answer as selling assets is an internal source of finance | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 15 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 02 · extract 3 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Define the term **social enterprise.**<br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **social enterprise**.<br><br>• A business that aims to improve human or environmental well-being **(1)** | **(1)** |

| Q. No. | Define the term **tertiary sector**.<br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **tertiary sector**.<br><br>• Provides services to consumers and other sectors of industry **(1)** | **(1)** |

| Q. No. | State **one** reason why *Starbucks* wants to retain its employees.<br>**Answer** | Mark |
|---|---|---|
| 1 (d) | **AO2 - 1 mark**<br><br>Award 1 mark for a valid reason why *Starbucks* wants to retain its employees in the context of the business<br><br>• By retaining its employees *Starbucks* does not have to train new employees on how to make the coffee it sells **(1)**<br>• If employees remain at *Starbucks* they will become more proficient and may be promoted to a coffee master or a coffee manager **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Starbucks.*<br><br>Accept any appropriate response | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 15 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 02 · extract 4 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Calculate, to **two** decimal places, the estimated total revenue in 2030. You are advised to show your working.<br>**Answer** | **Additional Guidance** | **Mark** |
|---|---|---|---|
| 1 (e) | **A02 - 2 marks**<br>165.7 x 1.3825 **(1)**<br>= 229.08 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br>Award full marks for correct answer with no working. | **(2)** |

| Q. No. | Explain **one** disadvantage for a business of training its employees.<br>**Answer** | **Mark** |
|---|---|---|
| 1 (f) | **A01 - 3 marks**<br>Award 1 mark for identification of a disadvantage for a business training its employees, plus 2 further marks, for a maximum of 3 marks.<br>• Training employees takes a great deal of time **(1)** and needs existing employees to carry out the training **(1)** which can reduce the productivity of the business **(1)**<br>• Existing employees have to be taught how to train employees **(1)** which incurs additional expense **(1)** for the business and there is no guarantee they are trained efficiently **(1)**<br>**NB** No marks are awarded for a definition.<br>Answers that list three disadvantages with no explanation will get 1 mark only.<br>Accept any appropriate response. | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 15 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 02 · extract 5 of 6 · find part a.iv in this mark scheme extract

| Q. No. | Analyse the benefits for *Starbucks* of using batch production.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *Starbucks* uses batch production means that they can produce cakes at a lower cost per unit<br>• It maximises the use of kitchen equipment and reduces waste of ingredients for sandwiches<br><br>**AO3**<br>• Which ensure a uniform taste and quality across all locations<br>• This decreases production time ensuring a wide range of sandwiches for sale | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)**<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)** |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)**<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)** |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout **(AO2)**<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)** |

## Type MS · Forms of business ownership and limited liability

Answer 15 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 02 · extract 6 of 6 · find part a.iv in this mark scheme extract

| Q. No. | State **one** reason why *Starbucks* should have good communication with its customers.<br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 16 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 01 · extract 1 of 7 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is C – Marketing**<br><br>**A –** Human resources – this is not the correct answer as it is responsible for employees<br>**B** – Finance – this is not the correct answer as it is responsible for money<br>**D** – Production – this is not the correct answer as it is responsible for making goods | **(1)** |

| **Question Number** | Which **one** of the following is the difference between cash inflow and cash outflow?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – Net cash flow**<br><br>**A –** Opening balance – this is not correct as it is the amount of cash a business expects to have at the start of a month<br>**C –** Closing balance - this is not correct as it is the amount of cash a business expects to have at the end of a month<br>**D –** Cash flow forecast - this is not correct as it is the account which predicts expected receipts and expenses over a future time period | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 16 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 01 · extract 2 of 7 · find part b in this mark scheme extract

| Question Number | Which **one** of the following is the sector that converts raw materials into products?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iii) | **AO1 - 1 mark**<br><br>**The only correct answer is D – Secondary**<br><br>**A** – Public – this is not correct as it is business organisations owned by government<br>**B** – Tertiary – this is not correct as it is the provider of services<br>**C** – Primary – this is not correct as it is the extraction of raw materials from the earth | **(1)** |

| Question Number | Which **one** of the following is an example of a good?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is A – Motor vehicle**<br><br>**B –** Financial advice - this is not correct as it is an example of a service<br>**C –** Car washing– this is not correct as it is an example of a service<br>**D –** Gardening – this is not correct as it is an example of a service | **(1)** |

| Question Number | Which **one** of the following would be a 3% increase in revenue for *Irsi Chocolatier*?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**The only correct answer is C – €320 973.75**<br><br>**A –** €317 857.50 – this is not the correct answer as it is an increase of 2%<br>**B –** €319 415.63 – this is not the correct answer as it is an increase of 2.5%<br>**D –** €322 531.88 – this is not the correct answer as it is an increase of 3.5% | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 16 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 01 · extract 3 of 7 · find part b in this mark scheme extract

| Question Number | Which **one** of the following is the break-even point when a box of luxury chocolates is priced at €15.10?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is B – 76**<br><br>**A –** 75 – this is not the correct answer as it is the correct answer minus one<br>**C –** 77 – this is not the correct answer as it is the correct answer plus one<br>**D –** 78 – this is not the correct answer as it is the correct answer plus two | **(1)** |

| Question Number | Define the term **limited liability**<br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **limited liability**.<br><br>• When the business owner is only responsible for the original amount of money invested in the business **(1)** | **(1)** |

| Question Number | Define the term **social enterprise**<br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **social enterprise**.<br><br>• A business that aims to improve human or environmental well-being **(1)** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 16 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 01 · extract 4 of 7 · find part b in this mark scheme extract

| Question Number | State **one** way *Irsi Chocolatier* could use the Boston matrix.<br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for a way *Irsi Chocolatier* could use the Boston matrix<br>• *Irsi Chocolatier* could use the dog category to see the chocolates that are not worth making anymore **(1)**<br>**NB** Do not accept a way that is not in the context of *Irsi Chocolatier*.<br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate, to two decimal places, the cost of these chocolates after the discount has been applied.<br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br>75.50 x 0.06 = 4.53 **(1)**<br>75.50 – 4.53 = 70.97 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br>Award full marks for correct numerical answer without working. | **(2)** |

## Type MS · Forms of business ownership and limited liability

Answer 16 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 01 · extract 5 of 7 · find part b in this mark scheme extract

| Question Number | Explain **one** benefit for a business that uses test marketing.<br>**Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a benefit for a business that uses test marketing, plus 2 further marks for explaining the benefit, for a maximum of 3 marks.<br><br>• The risk of failure is reduced **(1)** as the new product is only tested in one area gaining feedback from customers **(1)** leading to modifications being made before the final launch **(1)**<br><br>**NB** Answers that list three benefits with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 16 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 01 · extract 6 of 7 · find part b in this mark scheme extract

| Question Number | Analyse the importance of branding for *Irsi Chocolatier*.<br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• As a business that started in 1989 it has been able to develop and maintain a strong image for its chocolates and sweets<br>• Branding against local competing chocolate shops helps *Irsi Chocolatier* stand out<br>**AO3**<br>• This is important as the brand helps create recognition of the business allowing *Irsi Chocolatier* to continue as a long-standing business<br>• As the brand becomes stronger a higher price for the products can be charged and new products being introduced have a higher success rate due to its current branding | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Forms of business ownership and limited liability

### Answer 16 of 28 · Question 1 part b · 1 mark

2023 JUN · Paper 01 · extract 7 of 7 · find part b in this mark scheme extract

| Question Number | State **one** method *Irsi Chocolatier* could use to improve its competitive position.<br>**Answer** | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 17 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part a.iv in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is B – Current liability**<br><br>**A –** Current asset - this is not correct because it is something a business owns that can be converted to cash within 12 months<br>**C** – Non-current asset - this is not correct because it is something owned by a business for longer than 12 months<br>**D** – Non-current liability - this is not correct because it is a debt to be paid back longer than 12 months | **(1)** |

| **Question Number** | Which **one** of the following is a pricing strategy where a business sets an initial high price for a product new to the market?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A – Skimming**<br><br>**B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs<br>**C –** Penetration **-** this is not correct because it is when a business charges a low price to begin with before setting its own price<br>**D –** Cost plus - this is not correct because it is adding a percentage to the cost of making the product | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 17 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part a.iv in this mark scheme extract

| Question Number | Which **one** of the following is a role of the human resources department?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iii) | **AO1 - 1 mark**<br><br>**The only correct answer is D – Recruiting employees**<br><br>**A** – Reducing costs - this is not correct because it is the role of finance<br>**B** – Designing products- this is not correct because it is the role of production<br>**C** – Customer Service - this is not correct because it is the role of marketing | **(1)** |

| Question Number | Which **one** of the following is a benefit to a shareholder of having limited liability?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is C – Own possessions are not at risk**<br><br>**A –** Choosing who buys shares - this is not correct because this is a benefit of owning a private limited company<br>**B –** May build a better relationship with suppliers - this is not correct because it is a benefit of loyalty to a supplier<br>**D –** Employee motivation will increase - this is not correct because it is a benefit of a good relationship with employees | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 17 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part a.iv in this mark scheme extract

| Question Number | Which **one** of the following is the break-even level of output?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**The only correct answer is B - 350**<br>**A** – 280 - this is not correct because it is the fixed costs<br>**C** – 420 - this is not correct because it is the fixed costs multiplied by revenue<br>**D** – 616 - this is not correct because it is the revenue added to variable cost per unit then multiplied by fixed costs | **(1)** |

| Question Number | Which **one** of the following statements from **Figure 2** correctly applies to the gym equipment business?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is C – it made a profit of €43 765**<br>**A** – It made a loss of €88 400 - this is not correct because it is the total costs<br>**B** – It made a loss of €61 165 - this is not correct because it is (€54 000 + €17 000) – €132 165<br>**D** – It made a profit of €78 165 - this is not correct because it is €132 165 - €54 000 | **(1)** |

| Question Number | Define the term **trade bloc.**<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **trade bloc**.<br><br>• A group of countries that work together to benefit from trade free of barriers **(1)** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 17 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part a.iv in this mark scheme extract

| Question Number | Define the term **job production.**<br><br>**Answer** | Mark |
|---|---|---|
| 1 (c) | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **job production**.<br><br>• The one-off production of a customised product to meet a customers' specific needs **(1)** | **(1)** |

| Question Number | State **one** reason why *Four Fitness* would pay its employees more than the minimum wage.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (d) | **AO2 - 1 mark**<br>Award 1 mark for a reason *Four Fitness* would pay its employees higher than minimum wage.<br><br>• Its gym instructors are highly qualified and skilled **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Four Fitness*.<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate the total price if five *Four Fitness* members attend the event. You are advised to show your working.<br><br>**Answer** | Additional guidance | Mark |
|---|---|---|---|
| 1 (e) | **AO2 - 2 marks**<br>175 – 12.25 = 162.75 **(2)**<br><br>35 x 5 = 175 **(1)**<br><br>175 x 0.07 = 12.25 **(1)** | Award full marks for correct numerical answer without working.<br><br>Award 1 mark for correctly substituting numbers into formula. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 17 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part a.iv in this mark scheme extract

| Question Number | Explain **one** impact to a business of providing fringe benefits to employees.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (f) | **AO1 - 3 marks**<br><br>Award 1 mark for an impact to a business of providing fringe benefits to employees, plus 2 further marks for explaining the impact, for a maximum of 3 marks.<br><br>• Lower staff turnover **(1)** which reduces recruitment costs **(1)** as they will not need to find new employees **(1)**<br><br>**NB** Answers that list three impacts with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Analyse the effectiveness of the wide span of control used by Gianni Polvani.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Gianni will be able to empower his employees directly within the gym as there are no layers between him and them<br>• 14 employees may be too many for Gianni to manage himself especially as he has two gyms to run<br>**AO3**<br>• Employees will be more motivated as decisions will be made quicker and this will encourage them to take ownership of their own work resulting in them bringing in new ideas to the gym<br>• He may not be able to spread his time evenly between all the workers which could lead to lower productivity levels because of this reduced supervision | **(6)** |

Type MS · Forms of business ownership and limited liability

Answer 17 of 28 · Question 1 part a.iv · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part a.iv in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

| Question Number | State **one** factor *Four Fitness* may consider when choosing a location for its new gym.<br><br>**Answer** | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 18 of 28 · Question 1 part f · 3 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 = 1 mark**<br><br>**The only correct answer is B – Income tax**<br><br>A is not correct because sales tax is not a tax<br><br>C is not correct because it is a tax paid by limited businesses<br><br>D is not correct because it is not a tax | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (ii)** | **AO1 = 1 mark**<br><br>**The only correct answer is D – Packaging**<br><br>A is not correct because it is a fixed cost<br><br>B is not correct because it is a fixed cost<br><br>C is not correct because it is a fixed cost | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (iii)** | **AO1 = 1 mark**<br><br>**The only correct answer is C – Focus groups**<br><br>A is not correct because it is a method of secondary market research<br><br>B is not correct because it is a method of secondary market research<br><br>D is not correct because it is a method of secondary market research | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 18 of 28 · Question 1 part f · 3 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part f in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (a) (iv)** | **AO1 = 1 mark**<br><br>**The only correct answer is A –**<br>**Total cash inflow – total cash outflow**<br><br>B is not correct because it is the incorrect calculation<br><br>C is not correct because it is the incorrect calculation<br><br>D is not correct because it is the incorrect calculation | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (v)** | **AO2 = 1 mark**<br><br>**The only correct answer is D - €86.25**<br><br>A is not correct because this is worked out by multiplying five lessons by the exchange rate of €1.15<br><br>B is not correct because this is the cost of the lesson<br><br>C is not correct because this is worked out by multiplying the cost of each lesson at £15 by five lessons | **(1)** |
| Question Number | Answer | Mark |
| **1 (a) (vi)** | **AO2 = 1 mark**<br><br>**The only correct answer is A – A decrease in cash outflows**<br><br>B is not correct because this is not an impact of a decrease in the exchange rate<br><br>C is not correct because this is not an impact of a decrease in the exchange rate<br><br>D is not correct because this is not an impact of a decrease in the exchange rate | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 18 of 28 · Question 1 part f · 3 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part f in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (b)** | **AO1 = 1 mark**<br><br>Award 1 mark for a correct definition of fixed costs.<br><br>• Costs that do not vary with the level of output (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (c)** | **AO1 = 1 mark**<br><br>Award 1 mark for the correct definition of stakeholder.<br><br>• An individual or a group with an interest in the business (1). | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| **1 (d)** | **AO2 = 1 mark**<br><br>Award 1 mark for a valid response that relates to investing in computer technology in the context of the business.<br><br>• *TADS* could improve the quality of the sound that the drums make (1). | **(1)** |

| Question Number | Answer | Additional guidance | Mark |
|---|---|---|---|
| **1 (e)** | **AO2 = 2 marks**<br><br>(350 – 190) / 190 x 100 (1)<br><br>= 84.21% (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 18 of 28 · Question 1 part f · 3 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part f in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| **1 (f)** | **AO1 = 3 marks**<br><br>Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining how this will affect a business for a maximum of 3 marks.<br><br>• Partners may disagree and fall out (1) meaning decision making can take longer (1) stopping the business moving forward with new ideas (1).<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Indicative content | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *TADS* is located in a wealthy area near to people with more disposable income.<br>• *TADS* needs to be far away from competitors in the music school industry.<br><br>**AO3**<br>• It is important to be located close to the target market as parents may not want to travel far for the lessons for their children.<br>• As the service provided is specialised it is best to be far away from other drumming schools as not everyone will want to play them. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |

Type MS · Forms of business ownership and limited liability

Answer 18 of 28 · Question 1 part f · 3 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 19 of 28 · Question 2 part c · 3 marks

2021 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 2 (a) | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason why *Artify Studio* would want to offer a high-quality service in the context of the business.<br><br>• To encourage customers to come back and try other art sessions on offer **(1).**<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 2 (b) | **A02 - 1 mark**<br><br>Award 1 mark for a valid advantage of using part-time employees in the context of the business.<br><br>• It allows for flexibility when the studio is quiet and courses are not full **(1).**<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Answer | Mark |
|---|---|---|
| 2 (c) | **A01 - 3 marks**<br><br>Award 1 mark for identification of a benefit to a business of being a partnership, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks.<br><br>• The business gains investment from each partner **(1)** increasing the capital available to the partnership **(1)** which can help the business to expand **(1).**<br><br>**NB** Answers that list three benefits of being a partnership with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |



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Type MS · Forms of business ownership and limited liability

Answer 19 of 28 · Question 2 part c · 3 marks

2021 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|
| 2 (d) | **A01 - 3 marks**<br><br>Award 1 mark for identification of a way social media can be used by a business, plus 2 further marks for explaining this way, for a maximum of 3 marks.<br><br>• Creating a targeted advertising campaign **(1)** where the business can send a specific advert to a targeted group **(1)** who may be interested in the product or service **(1)**.<br><br>**NB** Answers that list three ways of using social media with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response**. | **(3)** |

| Question Number | Answer | Mark |
|---|---|---|
| 2 (e) | **A01 - 3 marks**<br><br>Award 1 mark for a business benefit that comes from introducing TQM, plus 2 further marks for explaining that benefit, for a maximum of 3 marks.<br><br>• One benefit is improved product quality **(1).** This is because everyone is working as a team **(1)** and so fewer mistakes are likely to be made **(1).**<br><br>**NB** Answers that list three benefits of using TQM with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |



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Type MS · Forms of business ownership and limited liability

Answer 19 of 28 · Question 2 part c · 3 marks

2021 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| 2 (f) | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>**AO2**<br>• Option 1 – this would increase the awareness of *Artify Studio* to those in the Kampong Glam area.<br><br>• Option 2 –this can allow a business to become known to a wider market of artists.<br><br>**AO3**<br>• Option 1 – They could use this as an opportunity to advertise the different services they offer to local artists.<br><br>• Option 2 – They can approach artists from all over the country to find out what the needs of those artists are and consider what they can do to meet those needs.<br><br>**AO4**<br>• Option 1 – However, sponsorship can cost the business a lot depending on the size of the art show and this could be a cost that the business cannot afford.<br><br>• Option 2 – However, it would mean taking time out of the business and it may not bring in new customers or improve its image if the exhibition was poorly attended. | **(9)** |



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## Type MS · Forms of business ownership and limited liability

### Answer 19 of 28 · Question 2 part c · 3 marks

2021 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |



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## Type MS · Forms of business ownership and limited liability

### Answer 19 of 28 · Question 2 part c · 3 marks

2021 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

| Question Number | Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 20 of 28 · Question 3 part b · 2 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

| | | |
|---|---|---|
| **3 (a)** | **A01 - 1 mark**<br><br>Award 1 mark for a correct definition of **delegation**<br><br>• The passing of work from a superior to a subordinate **(1)** | **(1)** |

| **Question Number** | Outline **one** benefit to *LEGO* of being a privately-owned family business.<br><br>**Answer** | **Mark** |
|---|---|---|
| **3 (b)** | **A02 - 2 marks**<br><br>Award 1 mark for identifying a benefit for *LEGO of* being a family owned business, plus 1 further mark for linking it to the context of the question.<br><br>• This means that since 1932 the Kritiansen family have continuously run *LEGO as a* privately owned business **(1)** which gives *LEGO* stability and continuity **(1)**<br><br>**NB** Do not accept a benefit that is not in the context of *LEGO.*<br><br>**Accept any other appropriate response.** | **(2)** |

| **Question Number** | Calculate the employee's new salary.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **3 (c)** | **A02 - 2 marks**<br><br>150 000 x 0.045 = 6 750 **(1)**<br><br>150 000 + 6 750 =<br><br>156 750 **(1)**<br><br>**OR**<br><br>150 000 x 1.045 **(1)**<br><br>= 156 750 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 20 of 28 · Question 3 part b · 2 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

| Question Number | Analyse how *LEGO* could use a Statement of Comprehensive Income when considering the development of new toys.<br><br>**Indicative content** | Mark |
|---|---|---|
| 3 (d) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br><br>• Statement of Comprehensive Income gathers data from all 15 worldwide *LEGO* factories<br>• *LEGO* can use the information to see its financial position when introducing the new Star Wars Princess Leia toy and whether it has sufficient funds<br>**AO3**<br><br>• This will enable *LEGO* to see if it is making a sufficient profit margin compared to other toy makers such as Disney allowing it to alter its pricing strategy<br>• Introducing a new toy is expensive as there are costs of design and development as well as producing the toy before it goes on sale to the public | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

Type MS · Forms of business ownership and limited liability

Answer 20 of 28 · Question 3 part b · 2 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

| Question Number | **Option 1:** on-the-job training<br>**Option 2:** off-the-job training.<br><br>**Indicative content** | Mark |
|---|---|---|
| 3 (e) | **AO2 = 3 marks AO3 = 3 marks**<br>**AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – The cost of training is reduced as employees remain on the premises producing the Princess Leia toy whilst being trained<br>• **Option 2** – When employees are trained by experts off site, they gain new skills and see new production methods not seen in the 15 *LEGO* factories<br><br>**AO3**<br>• **Option 1** – Employees gain in confidence as they are trained by staff they know whilst at *LEGO*<br>• **Option 2** – Employees can gain new skills from experts, resulting in fewer errors thus improving the number of toys produced in each factory<br><br>**AO4**<br>• **Option 1** – However, this can be time consuming and prevents the skilled employees from carrying out their job efficiently<br>• **Option 2** – However, the new employees may not gain the specific skills and knowledge which are needed for designing the new Star Wars toys for *LEGO* | **(9)** |

Type MS · Forms of business ownership and limited liability

Answer 20 of 28 · Question 3 part b · 2 marks

2022 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4). |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4). |

## Type MS · Forms of business ownership and limited liability

### Answer 20 of 28 · Question 3 part b · 2 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

| Question Number | Calculate, to two decimal places, the current ratio in 2019.<br><br>**Answer** | Additional guidance | Mark |
|---|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 21 of 28 · Question 2 part d · 3 marks

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **2 (a)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid fringe benefit *Aude Rose* could offer its employees in the context of the business.<br><br>• It could offer its employees training for a qualification as a florist **(1)**<br><br>**NB** Do not accept a fringe benefit that is not in the context of *Aude Rose*.<br><br>**Accept any other appropriate response.** | **(1)** |



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Type MS · Forms of business ownership and limited liability

Answer 21 of 28 · Question 2 part d · 3 marks

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part d in this mark scheme extract

| Question Number | State **one** reason why branding is important to *Aude Rose*.<br>**Answer** | Mark |
|---|---|---|
| **2 (b)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason why branding is important to *Aude Rose* in the context of the business.<br><br>• It makes the business stand out against other flower shops in Paris **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Aude Rose*.<br><br>**Accept any other appropriate response.** | **(1)** |



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Type MS · Forms of business ownership and limited liability

Answer 21 of 28 · Question 2 part d · 3 marks

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part d in this mark scheme extract

| Question Number | Explain **one** impact of ineffective communication on a business.<br>**Answer** | Mark |
|---|---|---|
| **2 (c)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an impact of ineffective communication on a business, plus 2 further marks for explaining the impact, for a maximum of 3 marks.<br><br>• More mistakes could be made **(1)** as employees will not know what they are doing **(1)** leading to low customer satisfaction **(1)**<br><br>**NB** Answers that list three impacts with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Explain **one** advantage of a partnership.<br>**Answer** | Mark |
|---|---|---|
| **2 (d)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks.<br><br>• Different partners may have different skills **(1)** and be able to offer a wider range of services **(1)** which could lead to increased business **(1)**<br><br>**NB** Answers that list three advantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |



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Type MS · Forms of business ownership and limited liability

Answer 21 of 28 · Question 2 part d · 3 marks

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part d in this mark scheme extract

| Question Number | Explain **one** disadvantage to a business of product orientation.<br>**Answer** | Mark |
|---|---|---|
| **2 (e)** | **A01 - 3 marks**<br><br>Award 1 mark for the identification of a disadvantage to a business of product orientation, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks.<br><br>• Product may not suit the needs of the customer **(1)** so potential customers may go elsewhere **(1)** resulting in the business losing sales **(1)**<br><br>**NB** Answers that list three disadvantages with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |



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Type MS · Forms of business ownership and limited liability

Answer 21 of 28 · Question 2 part d · 3 marks

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part d in this mark scheme extract

| Question Number | *Aude Rose* is considering two options.<br>**Option 1**: sponsor a local event such as a flower show<br>**Option 2**: advertise, using leaflets around Paris.<br>Justify which **one** of these two options *Aude Rose* should choose.<br>**Indicative content** | Mark |
|---|---|---|
| **2 (f)** | **AO2 = 3 marks AO3 = 3 marks**<br>**AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – The event will increase the awareness of her flower shop<br>• **Option 2** – Leaflets can be handed out to passing tourists to draw them to the flower shop<br><br>**AO3**<br>• **Option 1** – If the flower show is a success, potential customers will have a positive opinion of *Aude Rose*<br>• **Option 2** – The leaflet can include more information such as shop opening hours and the range of flowers being sold<br><br>**AO4**<br>• **Option 1** – However, these events can be expensive to sponsor so whilst sales may increase there is no guarantee profits will increase<br>• **Option 2** – However, this would mean that someone would have to take time out of the shop to hand out the leaflets or increase costs by paying someone to hand them out | **(9)** |



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Type MS · Forms of business ownership and limited liability

Answer 21 of 28 · Question 2 part d · 3 marks

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |



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## Type MS · Forms of business ownership and limited liability

### Answer 21 of 28 · Question 2 part d · 3 marks

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part d in this mark scheme extract

| Question Number | Define the term **variable costs.** Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 22 of 28 · Question 1 part f · 3 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is C**<br><br>**A** is not the correct answer as sales is shown on the statement of comprehensive income<br>**B** is not the correct answer as cost of sales is shown on the statement of comprehensive income<br>**D** is not the correct answer as gross profit is shown on the statement of comprehensive income | **(1)** |

| **Question Number** | Which **one** of the following is an element of the marketing mix?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A**<br><br>**B** is not the correct answer as a partnership is when 2 or more people own a business together<br>**C** is not the correct answer as production is the manufacturing of goods<br>**D** is not the correct answer as profit is the difference between total revenue and total costs | **(1)** |

| **Question Number** | **(iii)** Which **one** of the following is the total monthly cost?<br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D**<br><br>**A** is not the correct answer as it is the sum of total fixed costs and variable costs for one unit<br>**B** is not the correct answer as it is the sum of fixed costs plus output quantity<br>**C** is not the correct answer as it is the sum of fixed costs multiplied by the variable cost | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 22 of 28 · Question 1 part f · 3 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | Which **one** of the following job roles is most likely associated with capital-intensive production?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is B**<br><br>**A** is not the correct answer as the role of a hairdresser is labour intensive<br>**C** is not the correct answer as the role of a fruit picker is labour intensive<br>**D** is not the correct answer as the role of a chef is labour intensive | **(1)** |

| Question Number | Which **one** of the following is an internal source of finance?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO1 - 1 mark**<br><br>**The only correct answer is C**<br><br>**A** is not the correct answer as an overdraft is an external source of finance<br>**B** is not the correct answer as venture capital is an external source of finance<br>**D** is not the correct answer as crowdfunding is an external source of finance | **(1)** |

| Question Number | Which **one** of the following is the weekly break-even point?<br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is C**<br><br>**A** is not the correct answer as this represents the wrong fixed costs of 44 000 divided by the contribution of 5 500<br>**B** is not the correct answer as this represents the fixed costs of 440 000 divided by the selling price of 8 000<br>**D** is not the correct answer as this represents the fixed costs of 440 000 divided by the variable cost per unit of 2 500 | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 22 of 28 · Question 1 part f · 3 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part f in this mark scheme extract

| Question Number | Define the term **profit.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **profit**<br><br>• The amount remaining when total costs are deducted from total revenue **(1)** | **(1)** |

| Question Number | Define the term **span of control.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br>Award 1 mark for a correct definition of **span of control**.<br><br>• The number of workers controlled by one manager **(1)** | **(1)** |

| Question Number | State **one** likely variable cost for *AWG.*<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br>Award 1 mark for one variable cost for *AWG*<br><br>• *AWG* will have to pay for the cost of wool used to make the jumpers **(1)**<br><br>**NB** Do not accept a variable cost that is not in the context of *AWG*.<br><br>**Accept any appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 22 of 28 · Question 1 part f · 3 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part f in this mark scheme extract

| Question Number | Calculate, to **two** decimal places, the new price of the jumper in the promotional sale.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>329 x 0.25 = 82.25 **(1)**<br><br>329 - 82.25 = 246.75 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

| Question Number | Explain **one** benefit to a business that operates as a sole trader.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a benefit to a business that operates as a sole trader, plus 2 further marks for explaining the benefit, for a maximum of 3 marks.<br><br>• Independence of the owner **(1)** which means they can make decision without reference to anyone else **(1)** eliminating any conflicts or disagreements within the business **(1)**<br><br>**NB** Answers that list three benefits with no explanation will get 1 mark only.<br><br>**Accept any appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 22 of 28 · Question 1 part f · 3 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part f in this mark scheme extract

| Question Number | Analyse the advantages to *AWG* of using e-commerce to sell its products.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *AWG* sells its shirts on-line to customers based in other countries<br>• *AWG* uses a website to advertise its baby clothes to attract new customers<br>**AO3**<br>• This helps create recognition of the business internationally allowing *AWG* to increase its sales revenue.<br>• This helps to reduce the costs for *AWG* as selling online is less expensive than opening stores in other countries. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

## Type MS · Forms of business ownership and limited liability

### Answer 22 of 28 · Question 1 part f · 3 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part f in this mark scheme extract

| Question Number | State **one** non-financial method *AWG* may use to motivate its employees.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 23 of 28 · Question 2 part d · 3 marks

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **2 (a)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid reason why *Café Pinch* might set business objectives in the context of the business<br><br>• It will give Kumaran the motivation to make his business a success as he tries to meet the business objectives he set **(1)**<br><br>**NB** Do not accept a reason that is not in the context of *Café Pinch.*<br><br>**Accept any other appropriate response** | **(1)** |

| **Question Number** | State **one** way *Café Pinch* could use the Boston matrix to review its product portfolio.<br>**Answer** | **Mark** |
|---|---|---|
| **2 (b)** | **A02 - 1 mark**<br><br>Award 1 mark for a valid way *Café Pinch* could use the Boston matrix to review its product portfolio in the context of the business<br><br>• *Cafe Pinch* could identify which of its Ciabattas are dog products and take them off the menu **(1)**<br><br>**NB** Do not accept a way that is not in the context of *Café Pinch.*<br><br>**Accept any other appropriate response** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 23 of 28 · Question 2 part d · 3 marks

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part d in this mark scheme extract

| Question Number | Explain **one** responsibility of the human resources function.<br>**Answer** | Mark |
|---|---|---|
| **2 (c)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of a responsibility of the human resources function, plus 2 further marks for explaining this responsibility for a business, for a maximum of 3 marks<br><br>• Recruitment and selection of employees **(1)** that includes placing job adverts/interviewing/appointing candidates **(1)** leading to the most suitable applicant going through **(1)**<br><br>NB Answers that list three responsibilities with no explanation will get 1 mark only<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Explain **one** advantage of being in a partnership.<br>**Answer** | Mark |
|---|---|---|
| **2 (d)** | **A01 - 3 marks**<br><br>Award 1 mark for identification of an advantage of being in a partnership, plus 2 further marks for explaining this advantage, for a maximum of 3 marks.<br><br>• Each partner can bring their own experience and expertise **(1)** specialising in their own area of skill **(1)** thus increasing the chances of its success **(1)**<br><br>**NB** Answers that list three advantages with no explanation will get 1 mark only<br><br>**Accept any other appropriate response** | **(3)** |

## Type MS · Forms of business ownership and limited liability

### Answer 23 of 28 · Question 2 part d · 3 marks

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part d in this mark scheme extract

| **Question Number** | Explain **one** disadvantage to a business of having a hierarchical organisational structure.<br>**Answer** | **Mark** |
|---|---|---|
| **2 (e)** | **A01 - 3 marks**<br><br>Award 1 mark for the identification of a disadvantage of having a hierarchical organisational structure, plus 2 further marks for explaining that disadvantage, for a maximum of 3 marks.<br><br>• Communication through many layers can be difficult **(1)** there is a long chain of command **(1)** possibly leading to slow decision making **(1)**<br><br>NB Answers that list three disadvantages with no explanation will get 1 mark only<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 23 of 28 · Question 2 part d · 3 marks

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part d in this mark scheme extract

| Question Number | *Café Pinch is* considering two options:<br>**Option 1:** introduce a vegan range of products<br>**Option 2:** a special offer of 7.5% off to customers on Wednesday mornings 9am – 12pm<br>Justify which **one** of these two options *Café Pinch* should choose<br>**Indicative content** | Mark |
|---|---|---|
| **2 (f)** | **AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – Introducing a vegan range addresses a new market for the café<br>• **Option 2** – Giving a 7.5% discount can draw more customers into the cafe at a time when it might not be busy<br><br>**AO3**<br>• **Option 1** – This new range of products could lead to an increase in sales with limited upfront costs if it adapts the current menu to make it vegan friendly<br>• **Option 2** – As this 7.5% discount is only for one morning, it may draw more customers to them at that time instead of their competitors as long as the offer is promoted well<br><br>**AO4**<br>• **Option 1** – However, whilst this might draw in more customers *Café Pinch* needs to ensure it spends some time researching the products its customers want as well as what the competitors nearby are selling<br>• **Option 2** – However, despite this leading to a potential increase in competitiveness as *Café Pinch* is only small, they may not be able to cope with the increased demand at this time and it could lead to a decrease in competitiveness as customers may go elsewhere | **(9)** |

Type MS · Forms of business ownership and limited liability

Answer 23 of 28 · Question 2 part d · 3 marks

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

## Type MS · Forms of business ownership and limited liability

### Answer 23 of 28 · Question 2 part d · 3 marks

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part d in this mark scheme extract

| Question Number | Define the term **secondary sector.** Answer | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 1 of 9 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is D –** Remuneration<br><br>**A** – is not the correct answer as job enrichment is a non-financial method used to motivate employees<br>**B** – is not the correct answer as job rotation is a non-financial method used to motivate employees<br>**C** – is not the correct answer as autonomy is a non-financial method used to motivate employees | **(1)** |

| **Question Number** | Which **one** of the following is an example of secondary research?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A –** Government reports<br><br>**B** – is not the correct answer as a survey is a primary method of market research<br>**C** – is not the correct answer as a focus group is a primary method of market research<br>**D** – is not the correct answer as an observation is a primary method of market research | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 2 of 9 · find part f in this mark scheme extract

| Question Number | Which **one** of the following would increase the break-even point?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is B** – An increase in the variable costs<br><br>**A** – is not the correct answer as a decrease in fixed costs will lower the break-even point<br>**C** – is not the correct answer as an increase in the selling price will lower the break-even point<br>**D** – is not the correct answer as a decrease in total costs would lower the break-even point | **(1)** |

| Question Number | Which **one** of the following is provided by a person applying for a job?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO1 - 1 mark**<br><br>**The only correct answer is B –** Curriculum vitae (CV)<br><br>**A** - is not the correct answer as a job description is provided to a job applicant by a business<br>**C** – is not the correct answer as a person specification is provided to a job applicant by a business<br>**D** – is not the correct answer as disciplinary and grievance procedures will be supplied to the successful candidate | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 3 of 9 · find part f in this mark scheme extract

| Question Number | Which **one** of the following is the operating profit in 2023?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a)(v)** | **AO1 - 1 mark**<br><br>**The only correct answer is D –** £61 000<br><br>**A** – is not the correct answer as £29 000 is the sum of cost of sales and expenses<br>**B** – is not the correct answer as £79 000 is sales minus cost of sales<br>**C** – is not the correct answer as £72 000 is sales minus expenses | **(1)** |

| Question Number | Which **one** of the following is the percentage change in the cost of material for one robot between 2021 and 2023?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (vi)** | **AO2 - 1 mark**<br><br>**The only correct answer is C –** 15.00%<br><br>**A** – is not the correct answer as 1.30% is 1200/92000 x 100<br>**B** – is not the correct answer as 13.04% is 12000/92000 x 100<br>**D** – is not the correct answer as 86.96% is 80000/92000 x100 | **(1)** |

| Question Number | Define the term **stakeholder.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (b)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **stakeholder.**<br><br>• Anyone with an interest in or who is affected by a business | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 4 of 9 · find part f in this mark scheme extract

| Question Number | Define the term **social enterprise.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of a **social enterprise.**<br><br>• An organisation whose main objective is to be a benefit to society **(1)** | **(1)** |

| Question Number | State **one** non-current asset that *Saha* is likely to have.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a non-current asset that *Saha* may have.<br><br>• *Saha* is likely to have machinery which is used to manufacture the robots used in the hospitals **(1)**<br><br>• *Saha* is likely to have vehicles that are used to deliver robots to the restaurants and hotels **(1)**<br><br>**NB** Do not accept a non-current asset that is not in the context of *Saha*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 5 of 9 · find part f in this mark scheme extract

| Question Number | Calculate the total revenue from the sale of all battery packs sold by *Saha* in 2023. You are advised to show your working.<br><br>**Answer** | Additional guidance | Mark |
|---|---|---|---|
| 1 (e) | **A02 - 2 marks**<br><br>**5400 (2)**<br><br>Or 1 mark for working if correct answer not given:<br>5 x 90 = 450 **(1)**<br>**OR**<br>5 x 12 = 60 **(1)**<br>**OR**<br>450 x 12 **(1)**<br>**OR**<br>60 x 90 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

## Type MS · Forms of business ownership and limited liability

Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 6 of 9 · find part f in this mark scheme extract

| Question Number | Explain **one** advantage to a business of having limited liability.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for an advantage to a business of having limited liability plus 2 further marks for explaining the advantage, for a maximum of 3 marks.<br><br>• As the business exists as a separate legal entity **(1)** if the business goes into debt **(1)** this means the business owners are protected from losing their personal assets **(1)**<br><br>• The business may raise large amounts of finance through selling shares **(1)** as investors only risk losing the value of their shares if the business fails **(1)** therefore the added finance will help the business to expand **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three advantages to a business of having limited liability with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 7 of 9 · find part f in this mark scheme extract

| Question Number | Analyse **two** methods of primary research that could be of benefit to *Saha* when developing its products.<br><br>**Indicative content** | Mark |
|---|---|---|
| **1 (g)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• *Saha* could conduct interviews with current customers who use the robots in hospitals to understand how moving supplies between departments could be improved<br>• Focus groups could be formed which include customers from restaurants and hotels to discuss potential new features of the robots<br><br>**AO3**<br>Feedback from interviews will help *Saha* design robots which are better suited to the needs of its customers based in the hospitals<br>• The discussions in the focus groups may give *Saha* ideas on how to improve the function of the robots to meet the requirements of its customers | **(6)** |

## Type MS · Forms of business ownership and limited liability

### Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 8 of 9 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

## Type MS · Forms of business ownership and limited liability

### Answer 24 of 28 · Question 1 part f · 3 marks

2024 NOV · Paper 01 · extract 9 of 9 · find part f in this mark scheme extract

| **Question Number** | State **one** reason why branding is important to *Saha.*<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 25 of 28 · Question 1 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is D – Capital intensive**<br><br>**A –** Kaizen - this is not correct because it is a method of lean production<br>**B** – Job production - this is not correct because it is usually labour intensive<br>**C** – Just-in-time - this is not correct because this is a method of lean production | **(1)** |

| **Question Number** | Which **one** of the following is a pricing strategy that involves setting a low price for a product when it is first introduced to the market to quickly gain market share?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a) (ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is C – Penetration**<br><br>**A –** Skimming **-** this is not correct because it is when a business charges a high price to begin with<br>**B –** Competition **-** this is not correct because it is when a business considers its competitors price before setting theirs<br>**D –** Cost plus - this is not correct because it is adding a mark-up to the product | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 25 of 28 · Question 1 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

| Question Number | Which **one** of the following is most likely to improve the cash flow position of a small business to help prevent its failure?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iii) | **AO1 - 1 mark**<br>**(1)**<br>Select **one** answer<br><br>**The only correct answer is B – Paying suppliers later**<br><br>**A** – Paying overhead costs sooner - this is not correct because it will increase the cash outflow<br>**C** – Increasing the rate of pay for its employees- this is not correct because it will increase the cash outflow<br>**D** –Decreasing the net cash flow - this is not correct because this means increased cash outflows compared to cash inflows | **(1)** |

| Question Number | Which **one** of the following is a financial business aim?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (iv) | **AO1 - 1 mark**<br><br>**The only correct answer is C – Survival**<br><br>**A –** Challenge - this is not correct because it is a non-financial business aim<br>**B –** Independence - this is not correct because it is a non-financial business aim<br>**D –** Control - this is not correct because it is a non-financial business aim | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 25 of 28 · Question 1 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

| Question Number | Which **one** of the following would *CCT* pay in CNY for **six** electric bicycles?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (v) | **AO2 - 1 mark**<br><br>**The only correct answer is D – 30 855.00 CNY**<br><br>**A –** 550.00 CNY - this is not correct because it is the cost of one electric bicycle in £<br>**B –** 3 300.00 CNY - this is not correct because it is £550 x 6 bicycles<br>**C –** 5 142.50 CNY - this is not correct because it is £550 x the exchange rate of 9.35 | **(1)** |

| Question Number | Using **Figure 1** which **one** of the following is correct for *CCT*?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is C – it made a profit of 412 658 CYN**<br><br>**A –** it made a loss of 1 031 646 CYN - this is not correct because it is the total costs<br>**B –** it made a loss of 412 658 CYN - this is not correct because it is the total costs minus revenue<br>**D –** it made a profit of 1 031 646 CYN - this is not correct because it is the total costs | **(1)** |

| Question Number | Define the term **branding**.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **branding**.<br><br>• A name or logo that distinguishes it from its competition **(1)** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 25 of 28 · Question 1 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

| Question Number | Define the term **autonomy**.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **autonomy**.<br><br>• Employees are given the authority to make decisions about how they work **(1)** | **(1)** |

| Question Number | State **one** method of secondary market research *CCT* could use to collect market data.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a method of secondary market research *CCT* could use to collect market data.<br><br>• The internet to search for other bicycle-hire businesses in the local area **(1)**<br><br>**NB** Do not accept a way that is not in the context of *CCT*.<br><br>**Accept any other appropriate response.** | **(1)** |

| Question Number | Calculate, to **two** decimal places, the current ratio for 2024. You are advised to show your working<br><br>**Answer** | **Additional guidance** | Mark |
|---|---|---|---|
| **1 (e)** | **A02 - 2 marks**<br><br>561 258/ 233 098 **(1)**<br><br>= 2.41 **(1)** | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 25 of 28 · Question 1 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

| Question Number | Explain **one** benefit to the business owner of operating as a private limited company.<br><br>**Answer** | Mark |
|---|---|---|
| 1 (f) | **A01 - 3 marks**<br><br>Award 1 mark for a benefit to an owner of a private limited company, plus 2 further marks for explaining the benefit, for a maximum of 3 marks.<br><br>• A private limited company has limited liability **(1)** which reduces the risk of ownership **(1)** as personal possessions will be protected in the event the business has to pay back any outstanding debts **(1)**<br><br>**NB** Answers that list three benefits with no explanation will get 1 mark only.<br><br>**Accept any other appropriate response.** | **(3)** |

| Question Number | Analyse the concerns *CCT* may have of introducing this app for its customers.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Customers might be reluctant to download the app for a one-off biking experience<br>• It can be costly for *CCT* to introduce an app where customers can book the bicycles.<br>**AO3**<br>• Its customers may have a lot of apps on their phones and might not see the point of downloading another one if they are only using it for a short amount of time whilst on holiday<br>• *CCT* may not have the experience to create an app so may need to pay a designer to build the app and pay someone to maintain the app | **(6)** |

## Type MS · Forms of business ownership and limited liability

Answer 25 of 28 · Question 1 part f · 3 marks

2025 JUN · Paper 01 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

| Question Number | State **one** financial method of motivation *CCT* could use with its employees.<br><br>**Answer** | Mark |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 1 of 9 · find part f in this mark scheme extract

| | | |
|---|---|---|
| **1 (a) (i)** | **AO1 - 1 mark**<br><br>**The only correct answer is C –** Sales promotion<br><br>**A** – is not the correct answer as workforce planning is a role within the human resources function<br>**B** – is not the correct answer as quality control is a role withing the production function<br>**D** – is not the correct answer as training employees is a role in the human resources function | **(1)** |

| **Question Number** | Which **one** of the following is an example of a non-financial method of motivation?<br><br>**Answer** | **Mark** |
|---|---|---|
| **1 (a)(ii)** | **AO1 - 1 mark**<br><br>**The only correct answer is D –** Job rotation<br><br>**A** – is not the correct answer as a bonus is a financial method of motivation<br>**B** – is not the correct answer as remuneration is a financial method of motivation<br>**C** – is not the correct answer as fringe benefits are financial methods of motivation | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 2 of 9 · find part f in this mark scheme extract

| Question Number | Which **one** of the following is a phase of the product life cycle?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a) (iii)** | **AO1 - 1 mark**<br><br>**The only correct answer is A** – Introduction<br><br>**B** – is not the correct answer as a cash cow is a phase of the Boston matrix<br>**C** – is not the correct answer as a dog is a phase of the Boston matrix<br>**D** – is not the correct answer as a star is a phase of the Boston matrix | **(1)** |

| Question Number | Which **one** of the following is an example of a public service provided by the government?<br><br>**Answer** | Mark |
|---|---|---|
| **1 (a)(iv)** | **AO1 - 1 mark**<br><br>**The only correct answer is B –** Police force<br><br>**A** - is not the correct answer as a clothing retailer is not a public service<br>**C** – is not the correct answer as a mobile phone provider is not a public service<br>**D** – is not the correct answer as a grocery store is not a public service | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 3 of 9 · find part f in this mark scheme extract

| Question Number | Which **one** of the following is the interest charged by the bank on an overdraft of €1 400?<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a)(v) | **AO1 - 1 mark**<br><br>**The only correct answer is B –** €168<br><br>**A** – is not the correct answer as €140 is 10% of €1 400<br>**C** – is not the correct answer as €1 388 is €1 400 minus 12<br>**D** – is not the correct answer as €1 568 is €1 400 plus 12% | **(1)** |

| Question Number | Which **one** of the following is the percentage change in the total costs between 2022 and 2023<br><br>**Answer** | Mark |
|---|---|---|
| 1 (a) (vi) | **AO2 - 1 mark**<br><br>**The only correct answer is C –** 10.53%<br><br>**A** – is not the correct answer as 0.90% is 380 000/420 000<br>**B** – is not the correct answer as 9.52% is 40 000/420 000 x 100<br>**D** – is not the correct answer as 90.48% is 380 000/420 000 x 100 | **(1)** |

| Question Number | Define the term **primary sector.**<br><br>**Answer** | Mark |
|---|---|---|
| 1 (b) | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **primary sector.**<br><br>• Businesses involved in the extraction of raw materials | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 4 of 9 · find part f in this mark scheme extract

| Question Number | Define the term **shareholder.**<br><br>**Answer** | Mark |
|---|---|---|
| **1 (c)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of a **shareholder.**<br><br>• Anyone who buys a share in a business **(1)** | **(1)** |

| Question Number | State **one** benefit to *Ocean Vibes* of using competition pricing.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (d)** | **A02 - 1 mark**<br><br>Award 1 mark for a benefit to *Ocean Vibes* of using competition pricing.<br><br>• *Ocean Vibes* may attract sales from other boat tour businesses **(1)**<br><br>**NB** Do not accept a benefit that is not in the context of *Ocean Vibes*<br><br>**Accept any other appropriate response.** | **(1)** |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 5 of 9 · find part f in this mark scheme extract

| Question Number | Calculate the price of the boat tour in UK pounds (£). You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| 1 (e) | **A02 - 2 marks**<br>Award 2 marks for the correct answer.<br>£57 **(2)**<br>OR<br>Award 1 mark for working<br>60 x 0.95 **(1)** | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 6 of 9 · find part f in this mark scheme extract

| Question Number | Explain **one** advantage to an individual of being a sole trader.<br><br>**Answer** | Mark |
|---|---|---|
| **1 (f)** | **A01 - 3 marks**<br><br>Award 1 mark for an advantage to an individual of being a sole trader plus 2 further marks for explaining the advantage for a maximum of 3 marks.<br><br>• The individual has complete control over the business **(1)** as they make all the decisions for the business **(1)** therefore decisions for the business can be made quickly **(1)**<br><br>• The individual keeps all the profits **(1)** as they have no partners/shareholders within the business **(1)** which means that they can increase their personal wealth **(1)**<br><br>**NB** No marks are awarded for a definition.<br><br>Answers that list three advantages to an individual of being a sole trader with no explanation will get a maximum of 1 mark.<br><br>**Accept any other appropriate response.** | **(3)** |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 7 of 9 · find part f in this mark scheme extract

| Question Number | Analyse why *Ocean Vibes* should measure employee satisfaction.<br><br>**Indicative content** | Mark |
|---|---|---|
| 1 (g) | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• Measuring employee satisfaction at *Ocean Vibes* will help it to retain its tour guides who operate the dolphin and bird tours<br><br>• If employees at *Ocean Vibes* are satisfied, they will be motivated to provide good quality boat tours<br><br>**AO3**<br>• This will reduce recruitment and training costs for *Ocean Vibes* which may lead to higher levels of profitability<br>• This may lead to good reviews from customers which may encourage good recommendation and increased sales | **(6)** |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 8 of 9 · find part f in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context (AO2).<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2).<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2).<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). |

Type MS · Forms of business ownership and limited liability

Answer 26 of 28 · Question 1 part f · 3 marks

2025 NOV · Paper 01 · extract 9 of 9 · find part f in this mark scheme extract

| Question Number | State **one** fixed cost *Ocean Vibes* is likely to pay.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · Forms of business ownership and limited liability

Answer 27 of 28 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **3 (a)** | **AO1 - 1 mark**<br><br>Award 1 mark for a correct definition of **economies of scale**.<br><br>• A fall in average costs as output increases **(1)** | **(1)** |

| **Question Number** | Outline **one** way quantitative research data might help *Four Fitness* to improve its marketing mix.<br><br>**Answer** | **Mark** |
|---|---|---|
| **3 (b)** | **AO2 - 2 marks**<br><br>Award up to 2 marks for linked points outlining a way quantitative research data might help *Four Fitness* improve its marketing mix<br><br>Award a maximum of 1 mark if points are not linked.<br><br>• An online survey can gather data on how much people are willing to pay for gym membership **(1)** which could lead to a reduction in price to entice new members **(1)**<br><br>**NB** To award 2 marks there must be linked points and evidence of application<br><br>**Accept any other appropriate response.** | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 27 of 28 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

| Question Number | Calculate the net cash flow balance. You are advised to show your working.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|
| **3 (c)** | **AO2 - 2 marks**<br><br>11 400 **(2)**<br><br>60 000 – 48 600 **(1)** | Award full marks for correct numerical answer without working.<br><br>Award 1 mark for correctly substituting numbers into formula. | **(2)** |

| Question Number | Analyse the benefits to *Four Fitness* of recruiting externally.<br><br>**Indicative content** | **Mark** |
|---|---|---|
| **3 (d)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**AO2**<br>• It may be useful as it could give a wider field of experienced Marketing Managers who can market the gyms within Italy<br>• It may not be useful as it can be expensive as Gianni will have to advertise, shortlist and interview candidates and it will take him away from his work with the other two gyms<br>**AO3**<br>• This could lead to new ideas giving *Four Fitness* a competitive edge and improving the performance of the business by someone who specialises in marketing<br>• This could lead to the current employees feeling overlooked for the role leaving them demotivated and risking them looking somewhere else to work | **(6)** |

## Type MS · Forms of business ownership and limited liability

### Answer 27 of 28 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3-4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5-6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

Type MS · Forms of business ownership and limited liability

Answer 27 of 28 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

| Question Number | Gianni Polvani operates *Four Fitness* as a sole trader. He is considering a change to the ownership of the business and is looking at two options:<br>**Option 1:** a partnership with three of his employees<br>**Option 2:** a private limited company.<br>Justify which **one** of these two options Gianni should choose.<br><br>**Indicative content** | **Mark** |
|---|---|---|
| 3 (e) | **AO2 = 3 marks AO3 = 3 marks**<br>**AO4 = 3 marks**<br><br>**AO2**<br>• **Option 1** – He will have like-minded health professionals to share the decision making who already work for *Four Fitness*<br>• **Option 2** – Gianni will now have limited liability as will his new shareholders of the gyms<br><br>**AO3**<br>• **Option 1** – This means they already have knowledge of what works and what does not so can make better decisions for the business<br>• **Option 2** – This means he could take more risks with the business than if he had unlimited liability as a sole trader<br><br>**AO4**<br>• **Option 1** – However, the decision making maybe wrong because the employees do not have sufficient business experience<br>• **Option 2** – However, he will have to find people interested in the business who want to become shareholders when setting up a private limited company and this might be difficult as it is a small business | **(9)** |

## Type MS · Forms of business ownership and limited liability

### Answer 27 of 28 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No Rewardable material. |
| **Level 1** | 1-3 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 4-6 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 7 - 9 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

Type MS · Forms of business ownership and limited liability

Answer 27 of 28 · Question 3 part e · 9 marks

2025 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

| **Question Number** | Calculate, to **two** decimal places, the gross profit margin.<br><br>**Answer** | **Additional guidance** | **Mark** |
|---|---|---|---|

## Type MS · Forms of business ownership and limited liability

### Answer 28 of 28 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 1 of 5 · find part c in this mark scheme extract

| | | | |
|---|---|---|---|
| **4 (a)** | **AO2 = 2 marks**<br><br>7.70 x 0.025 = 0.1925 (1)<br><br>0.1925 + 7.70 = 7.89 (1) | Award 1 mark for correctly substituting numbers into formula.<br><br>Award full marks for correct numerical answer without working. | **(2)** |

Type MS · Forms of business ownership and limited liability

Answer 28 of 28 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 2 of 5 · find part c in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **4 (b)** | **AO2 = 3 marks AO3 = 3 marks**<br><br>**A02**<br>• *TADS* could use sales promotions such as coupons in the local newspaper that Ollie writes a column for.<br>• *TADS* could go to music festivals to showcase the skills of its students.<br><br>**A03**<br>• Coupons in the newspaper may lead to local readers using them thus increasing the number of students.<br>• By doing this spectators will see the skills that have been taught and be encouraged to learn to play a new musical instrument. | **(6)** |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) |
| **Level 2** | 3–4 | • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) |
| **Level 3** | 5–6 | • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) |

Type MS · Forms of business ownership and limited liability

Answer 28 of 28 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 3 of 5 · find part c in this mark scheme extract

| Question Number | Indicative content | Mark |
|---|---|---|
| **4 (c)** | **AO1 = 3 marks AO2 = 3 marks**<br>**AO3 = 3 marks AO4 = 3 marks**<br><br>**A01**<br>• A private limited company is a suitable type of ownership for small and medium-sized businesses.<br>• In a private limited company, the shareholders can only lose the money they invest.<br><br>**A02**<br>• As a one-man business becoming a private limited company means Ollie could raise more funds from family and friends.<br>• *TADS* will have a separate legal identity meaning the business could carry on if anything happened to Ollie.<br><br>**A03**<br>• If *TADS* opts for a private limited company then Ollie can control who the other owners will be allowing him to choose people who have an interest in music and can invest in the business.<br>• Having Ltd status means that Ollie's personal possessions are protected as are those of his shareholders. The benefit of this is that the risk for shareholders is reduced.<br><br>**A04**<br>• However, Ollie may not get a lot of interest so cannot raise large amounts of money and this can slow down his expansion plans. He may find it easier to opt for another source of finance such as a bank loan rather than change the legal ownership of the business, so he does not lose any control of the business.<br>• However, becoming a Ltd will involve an increase in paperwork and some information will have to be shared publicly and this could be of some interest to Ollie's competitors. | **(12)** |

Type MS · Forms of business ownership and limited liability

Answer 28 of 28 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 4 of 5 · find part c in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–4 | • Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1)<br>• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2)<br>• Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)<br>• Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 2** | 5–8 | • Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1)<br>• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2)<br>• Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)<br>• Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4) |
| **Level 3** | 9–12 | • Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1)<br>• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2)<br>• Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)<br>• Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4) |

## Type MS · Forms of business ownership and limited liability

### Answer 28 of 28 · Question 4 part c · 12 marks

2020 NOV · Paper 01 · extract 5 of 5 · find part c in this mark scheme extract

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